Value Research
# Wealth Insight
April 2026 ₹150
The Smart Investor's Stock Guide

# The ₹100 lakh crore opportunity

## Companies that will capitalise on India's wealth revolution

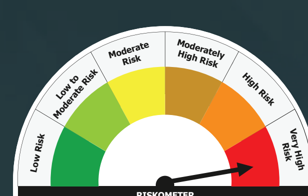

**PRODUCT LABELLING**

**Mirae Asset Large & Midcap Fund (An open-ended equity scheme investing in both large cap and mid cap stocks) is suitable for investors who are seeking***

- Long term capital appreciation
- Large & Mid Cap fund investing atleast 35% in large cap stock & atleast 35% in mid cap stocks

*Investors should consult their financial advisors if they are not clear about the suitability of the product.

Scheme Riskometer




The risk of the scheme is Very High

Scan here for product details & disclaimers

**Mutual Fund investments are subject to market risks, read all scheme related documents carefully.**

☑ Value Research
# Wealth Insight
April 2026 Volume XIX, Number 10

## EDITORIAL POLICY

The goal of Wealth Insight, as with all publications from Value Research, is not just limited to generating profitable ideas for its readers; but to also help them in generating a few of their own. We aim to bring independent, unbiased and meticulously-researched stories that will help you in taking better-informed investment decisions, encouraging you to indulge in a bit of research on your own as well.

All our stories are backed by quantitative data. To this, we add rigorous qualitative research obtained by speaking to a wide variety of stakeholders. We firmly stick to our belief of fundamental research and value-oriented approach as the best way to earn wealth in the stock market. Equally important to us is our unwaveringly focus on long term planning.

Simplicity is the hallmark of our style. Our writing style is simple and so is the presentation of ideas, but that should not be construed to mean that we over-simplify.

Read, learn and earn and let's grow and evolve as we undertake this voyage together.





# Contents





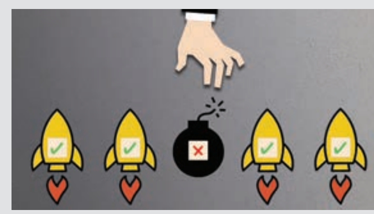






## ALPHANSO









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*By* Dhirendra Kumar

# Who really wins when India invests

## The story of India's market is more about participation than prediction

A person who decides each morning whether to go for a run is an exerciser. A person who steps into his shoes before he is properly awake is a runner. The distinction sounds trivial until it rains, or until they are tired or until any reasonable excuse presents itself. The exerciser weighs the inconvenience and decides to stay in bed. The runner steps out without thinking.

That distinction now applies to India's financial markets. As I write this, the Sensex has fallen from above 83,000 in late February to around 74,200, a drop of roughly 11 per cent in just a month, driven by the escalating US-Iran conflict and its disruption of energy supplies through the Strait of Hormuz. The headlines are grim. Portfolio statements are grimmer. This is the environment that has sent retail investors for the exit.

But the exit has not come. In September 2024, monthly SIP inflows stood at ₹24,509 crore, then a record high. By January 2026, with markets well off their peaks, that figure had risen to ₹31,002 crore. In February 2026, with markets sliding daily and oil at $119 a barrel, SIP contributions came in at ₹29,845 crore, 15 per cent higher than February last year (AMFI data, March 10, 2026). The number of contributing SIP accounts stood at 9.44 crore, up from 8.26 crore a year ago. Total SIP accounts crossed 10.45 crore. The slight month-on-month dip from January owes partly to February being a shorter month, with end-of-month instalments rolling into March.

I have spent three decades urging investors to ignore the noise, automate their investments and trust the process. Some part of me always wondered how many would actually follow through when the test arrived. The 2008 crash was sharp, but the recovery came fast enough that the pain did not compound. This correction is different. It has been prolonged, the geopolitical backdrop is genuinely frightening and the damage is spread across every part of the market. Yet, the SIP data says that a very large number of investors have passed this test without even treating it as one. They simply kept going. That is what a habit looks like.

> The current correction has been prolonged, with the damage spread across the market. Yet, SIP investors have kept their investment going. That's what a habit looks like.

The investment significance of this is well understood. What is less discussed is what it means for the businesses that make up the investment chain. When financial behaviour becomes automatic, it changes the economics of every company through which the money flows: the registrars who process each transaction, the depositories who hold the units, the exchanges and platforms through which orders are routed and the asset managers who collect fees on a growing base. These businesses do not benefit when investors make good decisions. They benefit when investors keep participating. An India of financial decision-makers is an unpredictable market. An India of financial habit-formers is closer to recurring revenue.

I should be honest about the uncertainty. Whether the SIP habit survives a deeper or prolonged crash remains unknown. The current correction, sharp as it feels, is not 2008. If markets were to fall 50 per cent and stay down for two years, some of these 9.44 crore accounts may go quiet. Habits break under stress. We have never had a generation of first-time Indian investors face that kind of sustained destruction, and we don't know how they would respond. I feel the automated nature of SIPs makes them stickier than discretionary investments, but that's a belief, not proof.

What is evidence is the question this issue's cover story takes up: who benefits from this shift, by how much and with what durability. Not every financial company gains equally from rising participation. Some sit at chokepoints where every rupee must pass through them regardless of who wins or loses the investor's attention. Others are strong businesses on a rising tide, but it does not guarantee their position. The cover story maps exactly which businesses sit at these chokepoints and which ones merely ride the current. Start there.

# MARKET REPORTER

## HDFC Bank Chairman resigns citing ethical and governance-related concerns

Atanu Chakraborty resigned as part-time chairman and independent director of HDFC Bank on March 18, 2026, citing practices over the past two years that conflicted with his personal values. His sudden exit raised governance concerns and sent HDFC Bank's stock down 5 per cent. The RBI said there were no material issues on record. The bank said its board was not informed of any practices Chakraborty referred to. Keki Mistry has been named interim chairman for three months.


## Bharti Airtel to invest ₹20,000 crore in NBFC arm

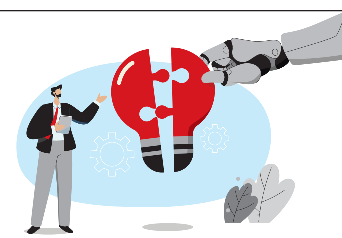
Bharti Airtel will invest ₹20,000 crore over next few years in NBFC subsidiary, Airtel Money, after securing an RBI licence. This marks a shift from distributing third-party loans to building its own lending book. Airtel will fund 70 per cent, with promoter Bharti Enterprises contributing the rest. Customer data from 37 crore users will support credit underwriting and loan growth.


## IDFC First Bank flags ₹590 crore fraud, faces government action

A ₹590 crore fraud at IDFC First Bank's Chandigarh branch came to light in February 2026 after discrepancies surfaced during a routine account closure of Haryana government funds. Employees allegedly colluded with outsiders, diverting funds through forged cheques and unauthorised debit instructions, bypassing digital controls. The bank reimbursed the amount within 24 hours, suspended four staff and appointed KPMG for a forensic audit. The Haryana government has de-empanelled the bank.

## Bajaj Finserv targets $1 billion in alternative assets push

Bajaj Finserv plans to raise up to $1 billion through its alternatives arm, Bajaj Alternate Investment Management, marking its expansion beyond lending, mutual funds and insurance, a senior executive told The Economic Times. The platform will span private equity, venture capital, liquid alternatives, listed equity and real estate. Each strategy may raise ₹1,500-2,000 crore, with deployments expected to begin from the first quarter of the next financial year.



## IT giants deepen AI push via tie-ups

India's three largest IT firms have entered distinct AI partnerships to strengthen capabilities. TCS has tied up with OpenAI to build AI-ready infrastructure and enterprise solutions. Wipro has signed a three-year pact with Microsoft and will deploy 50,000 Copilot licences. Infosys has partnered with Anthropic to integrate Claude into its Topaz platform, starting with telecom and expanding to financial services and manufacturing.

## Aequs to invest ₹1,900 crore in new aerospace facility

Aequs will invest ₹1,900 crore to set up an aerospace manufacturing facility in Tamil Nadu, expanding beyond its existing airframe components business. The Karnataka-based supplier to Airbus and Boeing plans to enter engine components, landing gear and critical systems, segments requiring fresh certifications. Engine programmes typically take three to five years to generate revenue. The project will be executed over 10 years, with the first phase expected by FY28.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## Govt may limit lending rates to MFIs under guarantee scheme

The finance ministry is likely to ask banks to cap lending rates to microfinance institutions (MFIs) at 200 basis points above MCLR under a proposed credit guarantee scheme, The Economic Times reported. The scheme is said to target MFIs with assets below ₹500 crore, a segment facing stress after RBI norms tightened borrower indebtedness and loan-to-income limits. It offers a 75 per cent guarantee of outstanding principal in the event of lenders' default.

## Tejas Networks to supply 5G radios to Japan's NEC Corp

Tejas Networks has signed a manufacturing and supply agreement with Japan's NEC Corporation for 5G Massive MIMO radios to be deployed across NEC's international carrier projects. The deal sits within a broader $500 million MoU the two companies signed in October 2025 for 6G co-development and Indian 5G exports. It marks Tejas's first confirmed export win with a Japanese systems integrator, and commercial shipments are on track to begin in Q2 FY27.

## HFCL bags biggest ever order worth ₹10,159 crore

HFCL has secured a ₹10,159 crore contract to supply optical fibre cables to an undisclosed international customer over five years. The company didn't reveal the buyer or deployment geographies due to confidentiality clauses. The order is nearly 2.5 times its FY25 consolidated revenue of ₹4,065 crore and marks its largest contract to date, improving revenue visibility and strengthening its position in global fibre supply chains.

## ACE forms JV with Japan's Kato to enter heavy cranes

Action Construction Equipment has formed a 50:50 joint venture, ACE Kato, with Japan's Kato Works to manufacture heavy cranes. The Haryana-based unit will begin operations in April 2026 and produce trucks, crawlers and rough-terrain cranes. Leveraging Kato's technology, the partnership marks ACE's entry beyond smaller cranes, targeting domestic infrastructure demand as well as export markets for growth in the medium term.

## UPL to spin off crop protection business into separate entity

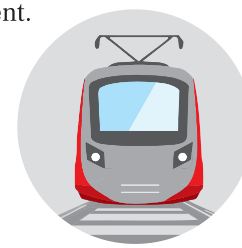
UPL plans to demerge its India and international crop protection operations into a new listed entity, UPL Global, separating them from Advanta Seeds and other businesses. The move follows a rise in consolidated net debt beyond ₹24,000 crore after the 2019 Arysta acquisition, which has weighed on its credit profile. Shareholders will receive proportionate shares, subject to approvals; the scheme has been filed with stock exchanges.

## India slaps anti-dumping duty on solar glass imports

India has imposed provisional anti-dumping duties on solar tempered glass imports from China and Vietnam ranging from $48 to $121 per tonne, depending on the exporter. The move follows a petition by domestic producers. This duty will remain in place for six months pending a final ruling by the Directorate General of Trade Remedies.

## BEML wins first overseas metro train contract

State-run BEML has secured its first international metro rolling stock order, marking its entry into exports in this segment. The ₹555 crore letter of intent covers the design, manufacture and commissioning of stainless-steel standard-gauge trains for an African client. The order expands its market beyond domestic projects, strengthens order book visibility in rail and engineering and adds diversification away from India's capital expenditure cycle over time.

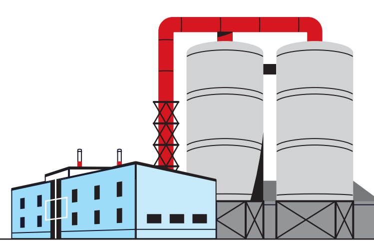


## Mazagon Dock wins ₹364 crore order from Shipping Corp

Mazagon Dock Shipbuilders has secured a ₹364 crore order from the Shipping Corporation of India to build a dual-fuel, multi-purpose vessel. The contract marks a move beyond its core naval shipbuilding into commercial vessels aligned with evolving emission norms. As the industry shifts towards cleaner propulsion, capabilities in dual-fuel systems could support future orders and diversify revenue visibility alongside its defence pipeline over the medium term.

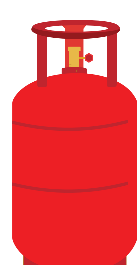
## Balrampur Chini to invest ₹2,850 crore in bioplastics plant

Balrampur Chini Mills will invest ₹2,850 crore to set up a polylactic acid (PLA) bioplastics plant with an annual capacity of 80,000 tonnes. The project will be funded through a 40:60 equity-debt mix and integrated with its sugar operations in Uttar Pradesh for feedstock linkage. The move marks diversification into specialty materials, aiming to reduce dependence on the cyclical sugar business and create an additional revenue stream.



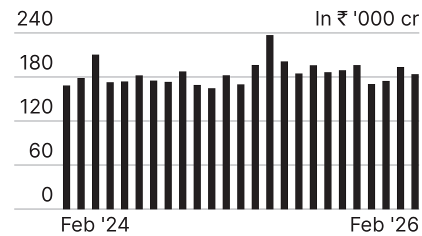
## West Asia tensions strain India's LPG and LNG supplies

India is facing supply constraints in LNG and LPG following disruptions linked to geopolitical tensions in West Asia, a key sourcing region. Around 85-90 per cent of the country's LPG imports come from the Middle East, highlighting concentration risks. Early stress is visible with LPG consumption declining 17.3 per cent year-on-year in the first half of March to about 1.15 million tonnes, according to the petroleum ministry data.

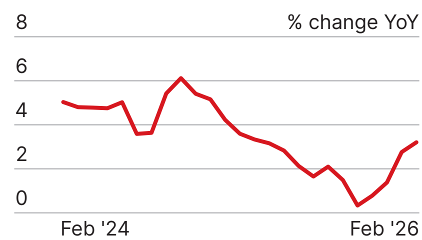


## ECONOMIC METRICS

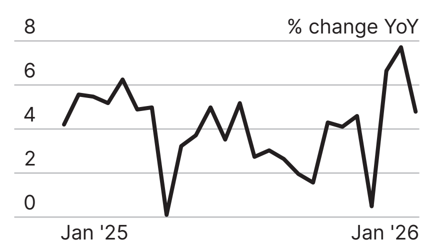
### GST collection



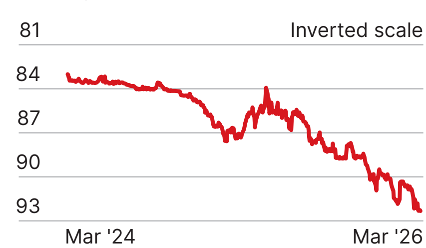

### Inflation: Consumer Price



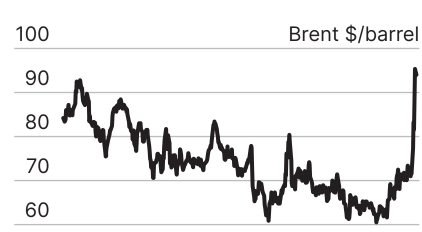

### Index of Industrial Production




### ₹ vs $




### Crude oil



# Large caps

| | Industry | Stock Rating | 3M returns (%) | P/E | TTM rev. growth (% YoY) | TTM PAT growth (% YoY) | 3Y EPS growth (% pa) | 3Y avg ROE (%) |
|---|---|---|---|---|---|---|---|---|
| **Top 10 by returns** | | | | | | | | |
| **National Aluminium Co.** | Aluminium Products | ★★★★★ | 34.4 | 11.1 | 19.9 | 55.8 | 46.2 | 19.8 |
| **Hitachi Energy** | Electric Equipment | ★★★ | 25.3 | 128.2 | 17.4 | 180.2 | 103.6 | 11.5 |
| **Lenskart Solutions** | Medical Equipment | ★★★★ | 22.7 | 292.0 | - | - | 69.4 | 2.9 |
| **PFC** | Finance Term Lending | ★★★★★ | 21.0 | 1.0* | 14.2 | 12.4 | 20.5 | 19.4 |
| **Coal India** | Mining & Minerals | ★★★★★ | 20.5 | 9.5 | -3.5 | -14.5 | 0.6 | 92.8 |
| **Vedanta** | Metal - Non Ferrous | ★★★★ | 20.4 | 18.9 | 12.3 | 28.0 | -2.4 | 21.4 |
| **Bharat Forge** | Forgings | ★★★ | 19.9 | 71.9 | 4.5 | 22.6 | 20.5 | 15.1 |
| **NTPC** | Power Generation | ★★★ | 19.1 | 15.3 | 0.9 | -18.8 | 12.0 | 13.3 |
| **ABB India** | Electric Equipment | ★★★ | 18.7 | 79.0 | 8.3 | -11.0 | 17.6 | 24.9 |
| **Solar Industries** | Chemicals | ★★★★ | 18.3 | 87.8 | 28.2 | 30.4 | 26.4 | 33.0 |
| **Bottom 10 by returns** | | | | | | | | |
| **LTIMindtree** | IT - Software | ★★★★ | -32.1 | 26.3 | 9.9 | 12.3 | -11.1 | 25.7 |
| **Swiggy** | e-Commerce | ★ | -28.3 | - | 52.1 | 72.8 | 25.9 | -85.1 |
| **Persistent Systems** | IT - Software | ★★★ | -26.0 | 42.3 | 23.5 | 35.9 | 24.7 | 26.1 |
| **TCS** | IT - Software | ★★★★ | -24.9 | 18.3 | 3.5 | 4.3 | 5.8 | 50.4 |
| **Wipro** | IT - Software | ★★★ | -24.8 | 15.4 | 2.4 | 6.1 | 6.9 | 16.4 |
| **HPCL** | Refineries | ★★★ | -23.8 | 4.9 | 0.8 | 133.8 | 56.0 | 10.9 |
| **DLF** | Construction | ★★ | -23.4 | 29.6 | 35.8 | -1.3 | 33.3 | 6.0 |
| **ITC** | Cigarettes | ★★★★ | -23.3 | 11.0 | 8.4 | -69.5 | 23.9 | 29.0 |
| **IDBI Bank** | Bank - Private | ★★★★★ | -22.6 | 1.3* | -2.5 | 29.6 | 42.3 | 13.7 |
| **Maruti Suzuki** | Automobiles | ★★★★ | -22.0 | 26.9 | 14.2 | 2.7 | 25.0 | 16.0 |

*Price-to-book ratio. Our large-cap universe has 147 large companies, making the top 70 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of March 16, 2026.

# Mid caps

| | Industry | Stock Rating | 3M returns (%) | P/E | TTM rev. growth (% YoY) | TTM PAT growth (% YoY) | 3Y EPS growth (% pa) | 3Y avg ROE (%) |
|---|---|---|---|---|---|---|---|---|
| **Top 10 by returns** | | | | | | | | |
| **Swan Defence** | Shipping | Unrated | 81.0 | - | 2,294.8 | -46.2 | -106.6 | -25.3 |
| **Avanti Feeds** | Animal Feed | ★★★★★ | 46.6 | 26.1 | 8.7 | 31.8 | 32.9 | 17.6 |
| **Mangalore Refinery** | Refineries | ★★★ | 39.2 | 16.6 | -6.0 | 167.5 | -16.6 | 20.8 |
| **Hindustan Copper** | Metal - Non Ferrous | ★★★★ | 29.3 | 69.8 | 39.3 | 65.4 | 37.9 | 15.8 |
| **Acutaas Chemicals** | Pharmaceuticals | ★★★★ | 27.7 | 61.7 | 31.6 | 130.4 | 43.2 | 12.7 |
| **MCX** | Stock Broking | ★★★ | 25.6 | 69.5 | 70.0 | 84.6 | 50.7 | 11.8 |
| **The Great Eastern Shipping** | Shipping | ★★★★★ | 24.3 | 8.7 | -8.5 | -21.6 | 3.5 | 25.0 |
| **Aditya Birla AMC** | Asset Management | ★★★★★ | 24.0 | 27.1 | 12.0 | 11.8 | 17.9 | 27.2 |
| **The J&K Bank** | Bank - Private | Unrated | 23.7 | 0.9* | 7.0 | 0.6 | 31.1 | 17.0 |
| **Prime Focus** | Business Support | ★★ | 23.0 | - | 22.3 | -173.6 | -12.4 | 3.4 |
| **Bottom 10 by returns** | | | | | | | | |
| **KPIT Technologies** | IT - Software | ★★★★ | -46.2 | 24.1 | 11.4 | 0.8 | 27.0 | 30.9 |
| **Hexaware Technologies** | IT - Software | Unrated | -45.2 | 18.6 | 14.0 | 23.2 | 15.9 | 26.5 |
| **Coforge** | IT - Software | ★★★★ | -42.0 | 30.1 | 39.4 | 49.8 | 11.7 | 23.9 |
| **Physicswallah** | Educational Institutions | ★★★ | -38.9 | - | - | - | - | - |
| **Inox Wind** | Electric Equipment | ★ | -38.2 | 26.8 | 57.5 | 83.5 | 33.7 | -5.2 |
| **Firstsource Solutions** | BPO/ITeS | ★★★ | -36.5 | 24.5 | 22.0 | 24.5 | 7.7 | 14.2 |
| **Syngene International** | Business Support | ★★★ | -36.4 | 47.0 | 5.1 | -16.2 | -6.8 | 12.2 |
| **Aditya Birla Real Estate** | Construction | ★ | -35.6 | - | -56.1 | -230.7 | -204.8 | 5.1 |
| **Poly Medicure** | Medical Equipment | ★★★ | -32.1 | 36.6 | 10.9 | 10.9 | 28.1 | 16.7 |
| **eClerx Services** | BPO/ITeS | ★★★★ | -31.6 | 21.5 | 20.8 | 29.1 | 14.2 | 28.6 |

*Price-to-book ratio. Our mid-cap universe has 316 mid-sized companies, making the next 20 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of March 16, 2026.

# Small caps

| | Industry | Stock Rating | 3M returns (%) | P/E | TTM rev. growth (% YoY) | TTM PAT growth (% YoY) | 3Y EPS growth (% pa) | 3Y avg ROE (%) |
|---|---|---|---|---|---|---|---|---|
| **Top 10 by returns** | | | | | | | | |
| **Mrugesh Trading** | Finance - Investment | Unrated | 216.2 | 7.9* | 1.1 | -119.7 | -290.2 | 21.3 |
| **SMT Engineering** | Trading | Unrated | 178.5 | 61.8 | 3,001.1 | -442.2 | 228.0 | -10.4 |
| **Onix Solar Energy** | Metal - Non Ferrous | ★★★★ | 138.6 | 118.9 | 1,990.8 | 1,657.2 | -1.5 | 38.5 |
| **Axis Solution** | Engineering | Unrated | 128.6 | 33.6 | 41.2 | 1.0 | - | - |
| **Jindal Poly Films** | Textile | ★★ | 89.6 | - | -29.0 | -224.4 | -159.5 | 16.5 |
| **Sterlite Technologies** | Cable | ★★ | 88.5 | - | 15.2 | -132.3 | -188.3 | -0.1 |
| **KS Smart Technologies** | Paper Products | Unrated | 82.3 | - | - | -2,923.3 | -240.2 | -74.0 |
| **B-Right Real Estate** | Construction | Unrated | 75.3 | 514.7 | - | - | 0.5 | 1.3 |
| **Kwality Pharmaceuticals** | Pharmaceuticals | ★★★★ | 70.4 | 29.1 | 33.2 | 65.3 | 14.9 | 12.6 |
| **Hypersoft Technologies** | IT - Software | ★★ | 63.0 | 332.0 | 8,934.8 | -332.1 | 106.9 | -9.4 |
| **Bottom 10 by returns** | | | | | | | | |
| **A-1** | Trading | ★ | -68.2 | 8.8* | 8.3 | -32.9 | -32.7 | 5.8 |
| **Blue Pearl Agriventures** | Trading | Unrated | -62.5 | 34.6* | 106.3 | -47.8 | 26.8 | 0.7 |
| **Systematix Corporate** | Finance - Investment | ★★★ | -60.7 | 2.7* | -3.1 | -55.6 | 47.7 | 22.7 |
| **SpiceJet** | Airlines | Unrated | -55.9 | - | -14.5 | 398.0 | 22.5 | - |
| **Elitecon International** | Trading | Unrated | -55.8 | 27.5 | 1,686.2 | 917.0 | 26.5 | - |
| **SEPC** | Engineering | ★ | -53.1 | 19.5 | 43.1 | 61.3 | 30.8 | 1.1 |
| **Aqylon Nexus** | Film Production | Unrated | -52.4 | 145.9 | 49.5 | -128.1 | 42.7 | - |
| **RM Drip and Sprinklers** | Engineering | Unrated | -52.3 | 39.5 | 436.9 | 904.5 | 106.4 | 21.4 |
| **String Metaverse** | Paper Products | Unrated | -50.4 | 17.6 | 240.6 | 266.3 | - | - |
| **Ellenbarrie Industrial** | Industrial Gases | Unrated | -49.2 | 30.6 | 49.7 | 108.4 | 7.4 | 13.5 |

*Price-to-book ratio. Our small-cap universe (minimum market capitalisation of ₹637 crore) has 1,201 small-cap companies, making the bottom 10 per cent of the total market capitalisation. The above list mentions stocks that fluctuated the most in the last three months. Profit after tax (PAT) adjusted for exceptional items and discontinued operations. Data as of March 16, 2026.

MIRAE ASSET
Mutual Fund

# Passive funds for the hands-off investor

Not every investor enjoys tracking markets every day. Some prefer **a quieter approach**, where investments continue to work in the background while they focus on other priorities. For such investors, simplicity often becomes the most valuable feature.

This is where passive funds may fit naturally. Instead of relying on frequent stock selection or tactical decisions, passive funds track a market index and aim to **replicate market performance**, subject to tracking error.

Because they follow a rules-based structure, passive funds require relatively **lower monitoring**. Investors do not need to constantly review portfolios or react to every market movement.

This structure may appeal to those who prefer investing to remain steady and **disciplined** rather than highly active. Not only does this make the process less time consuming but also offers a peace of mind for investors.

Passive funds also typically come with a **lower cost** structure. Since they simply replicate an index, their expense ratios are often lower than those of actively managed funds, which may help more of the invested money remain in the portfolio.

For investors who prefer a quieter approach, passive funds may offer a way to stay invested without constant involvement. The result is an investment process that remains **structured, disciplined** and relatively hands-off.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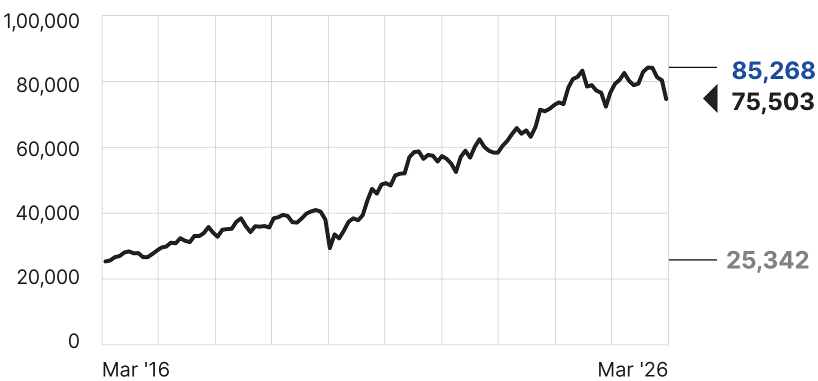
MARKET BAROMETER

# Trends and trails

Charts to help you make sense of the current market in terms of valuations and return potential

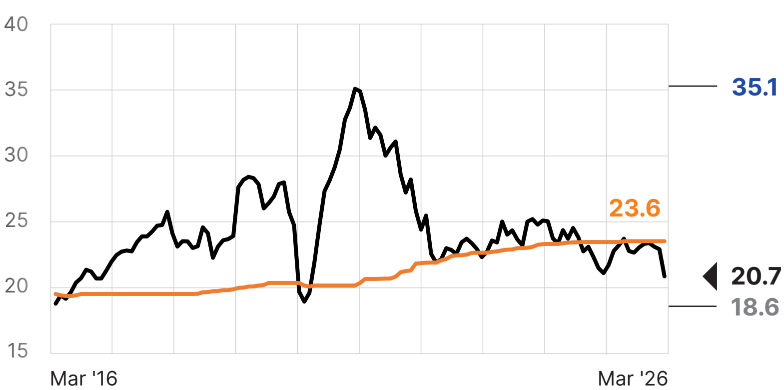
● Max ◀ Current ● Median ● Min

## Sensex's 10-year journey

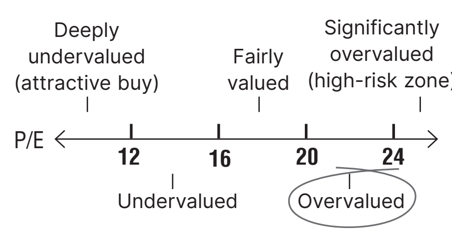



- The Sensex is a reliable gauge of the Indian market's overall performance.
- The 10-year graph shows a secular market rally, interrupted by several bearish phases.
- Key setbacks include Chinese growth concerns (2015), demonetisation (2016), US-China trade tensions (2018) and the Covid-19 crash (March 2020).
- After a strong recovery post-March 2020, the market dipped due to the Russia-Ukraine conflict and rising interest rates.
- After touching new lifetime highs in 2024, the Sensex is now stuck in a consolidation phase.

## Sensex's price-to-earnings ratio

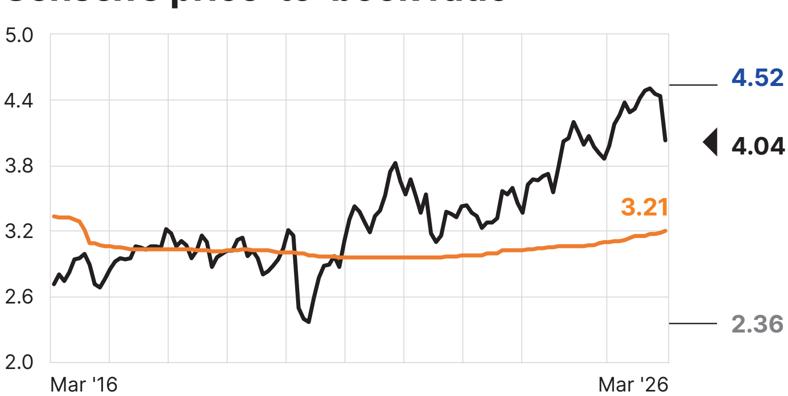



The **price-to-earnings (P/E)** ratio of the Sensex is a straightforward indicator of market valuation. Below is a general valuation guide:




The above chart uses standalone data for Sensex companies. If consolidated figures are considered, the P/E ratio would likely be lower.

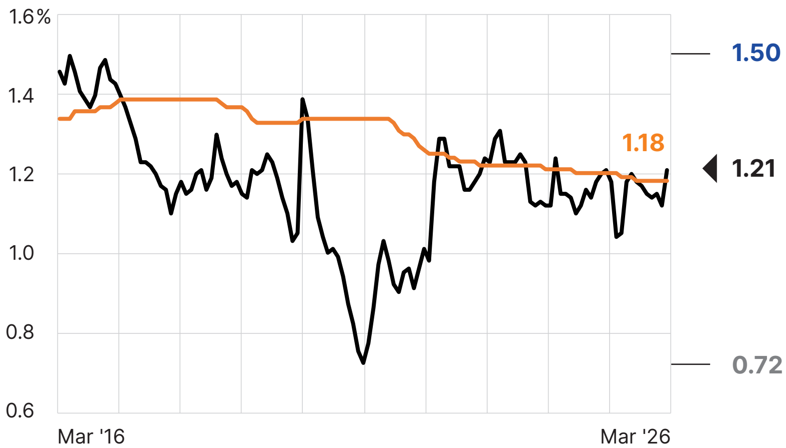
## Sensex's price-to-book ratio




The **price-to-book (P/B)** ratio reflects what investors are willing to pay for each rupee of net assets. With book value being more stable than earnings, it's often considered a better valuation metric than P/E.

If:
P/B > Median P/B = Overvalued
P/B < Median P/B = Undervalued

## Sensex's dividend yield

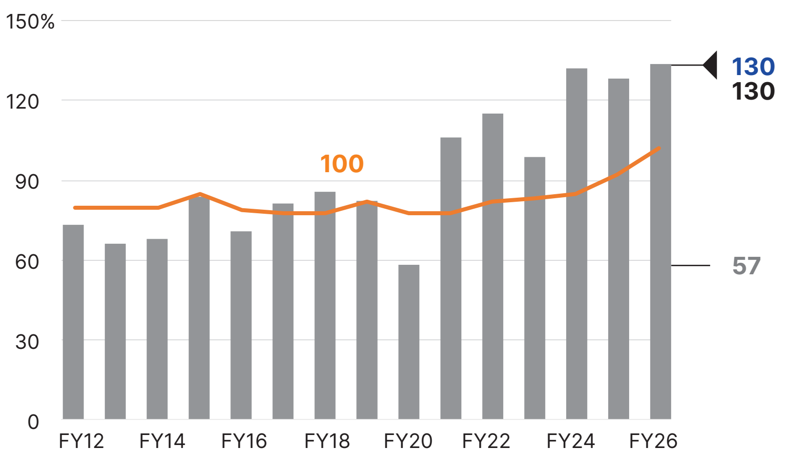



**Dividend yield** represents the return an investor earns through dividends. It is calculated as the dividend per share, divided by the price per share. Typically, higher dividend yields indicate cheaper stock prices.

If:
Dividend yield < Median dividend yield = Overvalued

Dividend yield > Median dividend yield = Undervalued

## Market cap-to-GDP

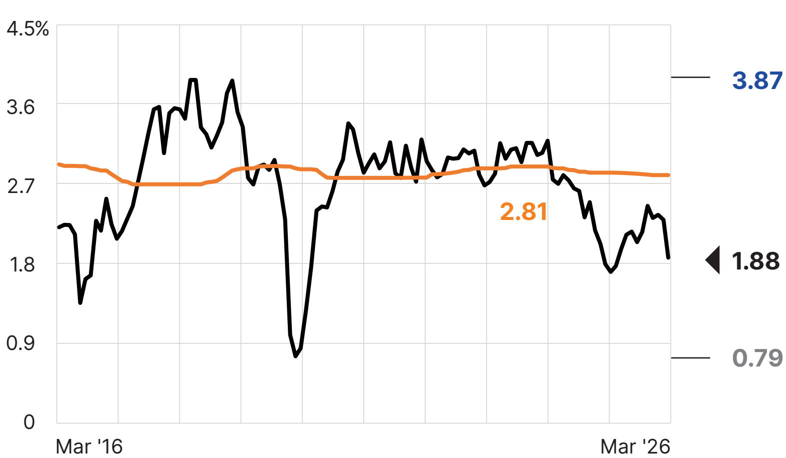



The **market cap-to-GDP ratio** is Warren Buffett's favourite valuation metric, calling it 'the best measure of market valuations at any given moment'.

If:
Market cap > GDP = Overvalued
Market cap < GDP = Undervalued

Considering the cumulative market cap of BSE-listed companies and the nominal GDP estimates: final for FY23, first revised for FY24 and second advanced for FY25.

## 10Y G-sec yield gap to Sensex's earnings yield

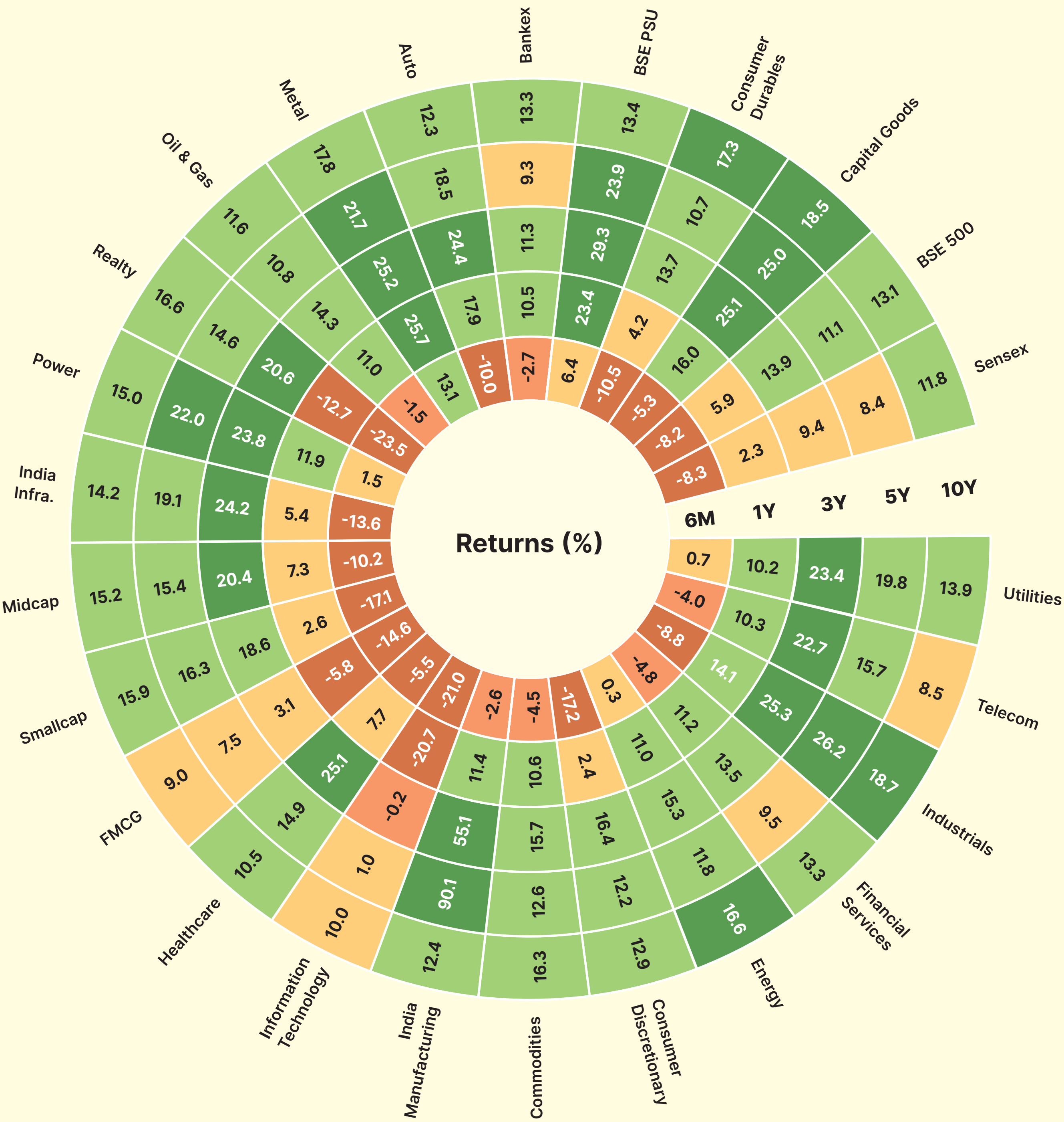



The **spread** between the 10-year government bond yield and Sensex earnings yield (inverse of P/E) is a key valuation metric.
A significant deviation from the median indicates the degree of the Sensex's overvaluation or undervaluation.
If:
Spread > Median = Overvalued
Spread < Median = Undervalued

All data as of March 16, 2026

# Sector snapshot

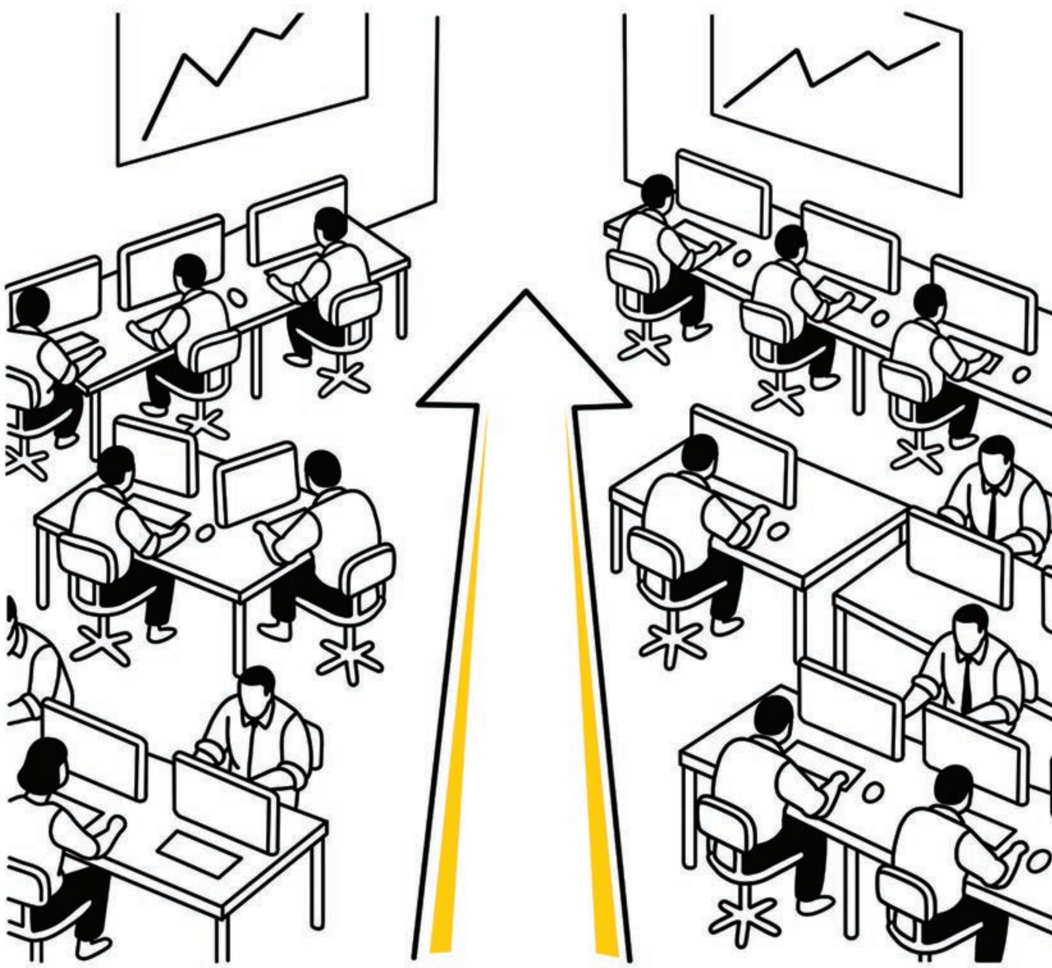
Despite underperforming in the last six months and one year, the long-term returns of most indices remain healthy, thanks to a strong bull run




Data as of March 16, 2026 for major BSE indices. Returns for over a year have been annualised.

# Clarity in Chaos

Actionable insights for confident investing



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STOCK STORY

# The art of subtraction

## How Eicher Motors shed 13 businesses to build a dominant one

In 1994, Eicher Motors was a sprawling conglomerate with over a dozen unrelated verticals: tractors, trucks, footwear and more. Royal Enfield acquired that year, however, went on to become its most troubled unit: loss-making, selling barely 1,000 motorcycles a month and bleeding capital. However, Siddhartha Lal, who took charge in 2005, bet the company's survival entirely on this languishing segment while divesting 13 other businesses, including the founding tractor division.

This decision to stake everything on motorcycles (and commercial vehicles), though seemed reckless at the time, rested on a simple belief: that Royal Enfield was suffocating under inefficiency, not product obsolescence.

### Finding the ignored middle

Lal had a foresight that proved his decision right. The mass-market commuter segment below 250cc was a volume war owned by Hero and Bajaj. The superbike segment above 750cc had negligible demand in a price-sensitive market. Between them sat the 350cc segment, uncontested, unbuilt for and entirely his for taking. That is where he placed his chips.

Eicher did not sell Royal Enfield as a motorcycle. It sold an identity, a vintage feel and a riding culture, without the quality problems that had plagued the brand for years. The company figured out distribution by launching compact studio stores. While they took up a quarter of the space of traditional stores, they offered an

## The two pillars by volume

| | FY16 | FY17 | FY18 | FY19 | FY20 | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|---|---|---|---|---|
| Royal Enfield | 5,08,099 | 6,66,493 | 8,20,121 | 8,22,724 | 6,97,582 | 6,09,403 | 5,95,474 | 8,24,066 | 9,12,003 | 10,02,893 |
| VECV | 51,888 | 58,604 | 65,932 | 72,969 | 48,721 | 41,268 | 57,077 | 79,623 | 85,560 | 90,163 |

VECV is the joint venture between Eicher and the Volvo Group immersive experience and became profitable within two years, which helped them reach smaller towns easily.

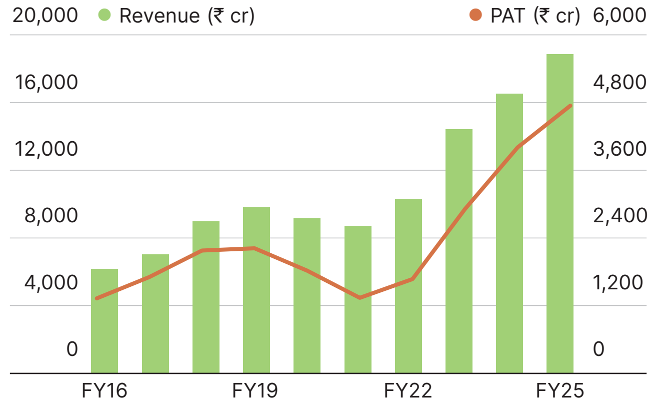
It also tackled developed markets where premium motorcycle brands were entrenched, and the distribution economics were challenging. Competing here was tough. To sidestep this, Eicher took the completely knocked-down route (products are shipped as individual parts and assembled at the destination), setting up assembly units in seven global locations. The strategy worked. Exports have grown multifold over the last decade, crossing one lakh units and now contributing a meaningful 13 per cent to revenue.

Back at home, Royal Enfield commands 95 per cent market share of its core 250–350cc segment. Bajaj's Triumph and Hero's Harley-Davidson have since arrived, but two decades of riding clubs, owner communities and strong resale values have built something no advertising budget can replicate. Rivals spend over 3 per cent of revenue on marketing. Eicher spends a fraction of that.

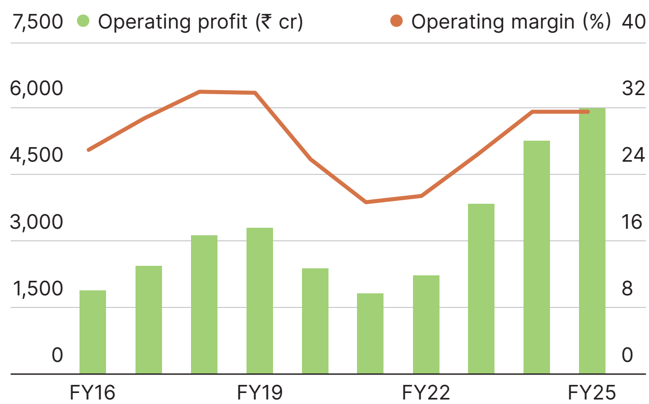
### The commercial vehicle wedge

The 2008 joint venture with the Volvo Group targeted the light and medium-duty truck segment that Tata and Ashok Leyland had left largely uncontested. Volvo's drivetrains paired with Eicher's cost-efficient manufacturing produced trucks well-suited to a growing e-commerce economy. The venture now holds 35 per cent of that market. The 2020 integration of Volvo Buses extended the same logic, giving the group a 19 per cent share of the total bus market.

### Financials in top gear




### Margins on the mend

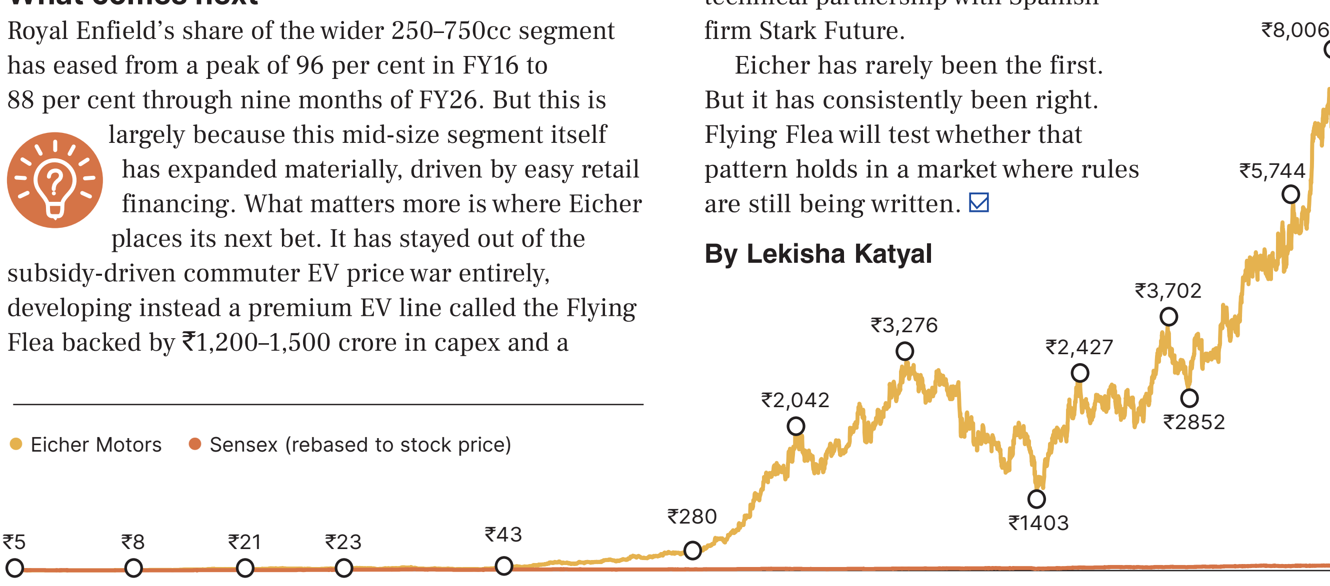



### What comes next

Royal Enfield's share of the wider 250–750cc segment has eased from a peak of 96 per cent in FY16 to 88 per cent through nine months of FY26. But this is largely because this mid-size segment itself has expanded materially, driven by easy retail financing. What matters more is where Eicher places its next bet. It has stayed out of the subsidy-driven commuter EV price war entirely, developing instead a premium EV line called the Flying Flea backed by ₹1,200–1,500 crore in capex and a technical partnership with Spanish firm Stark Future.

Eicher has rarely been the first. But it has consistently been right. Flying Flea will test whether that pattern holds in a market where rules are still being written. ☑

**By Lekisha Katyal**

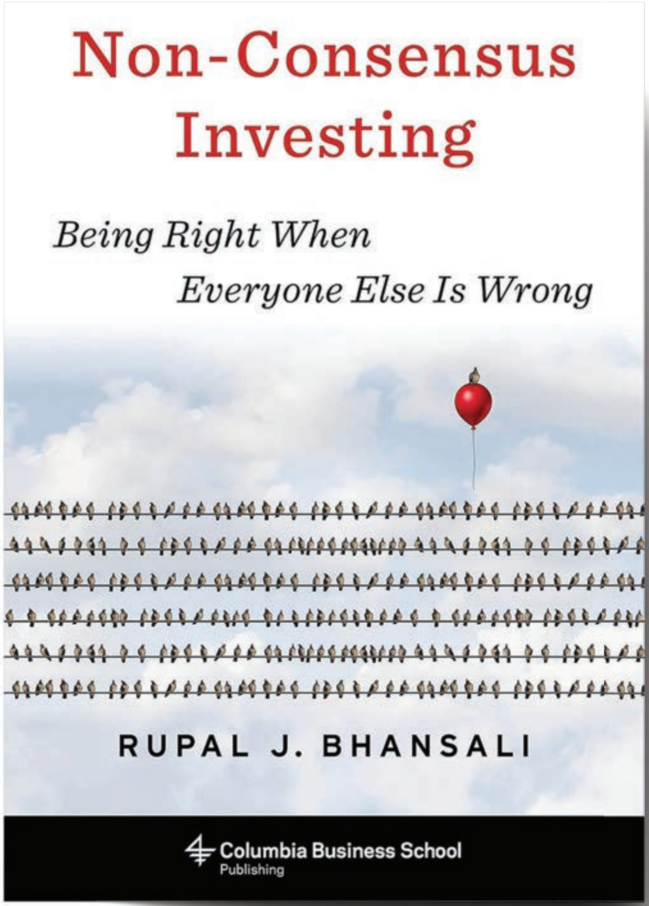


WORDS WORTH WISDOM

# The passive paradox

## What happens if everyone invests the same way?

Passive investing sells a lovely promise: stop worrying, stop picking, stop second-guessing, just buy the market and get on with life. For many investors tired of expensive funds and underwhelming performance, the idea is indeed appealing. But veteran investor Rupal J. Bhansali, currently Chief Investment Officer and Portfolio Manager for global equities at US-based Double Duty Money Management, presents an insightful paradox in her book *Non-Consensus Investing*. If everyone follows the herd, the herd stops discovering prices, she explains. And when price discovery weakens, the very logic that makes passive feel safe begins to look illogical. Below, we expand on Bhansali's key insights that may help you settle the never-ending 'active vs passive' debate.




### How passive investing survives on active efforts

Bhansali calls passive investing a prisoner's dilemma. The idea is simple: each individual investor can rationally choose passive investing (cheap, easy, diversified). But if too many investors choose that, the market becomes less efficient because fewer participants are doing the hard work of judging fair value.

The passive style, in her framing, is a form of free-riding: it benefits from the price signals created by

### Why passive style feels so reassuring

Bhansali acknowledges the things that makes most people love passive investing:

- Lower fees, which is a clear win, especially after decades of pricey products
- Broad exposure for the market' whims rather than that of a manager's
- Simplicity with fewer decisions and fewer chances to blunder
- And a popular conclusion that most active managers underperform, so why bother?

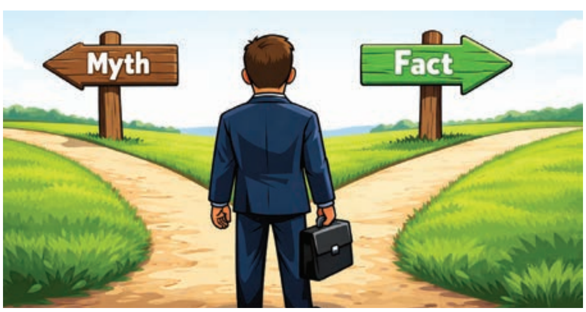
Passive is often sold as the grown-up alternative to messy judgment: markets are efficient; prices reflect information; therefore, owning the index is rational.

Nitin Yadav/AI-generated image

But her argument begins where that story gets lazy. Efficient markets do not happen by magic. They are made by investors who analyse businesses, disagree, trade and take the other side when prices look wrong. In other words, efficiency is a by-product of active effort.

active investors, while contributing little to creating those signals. The paradox is sharp: passive works best when active is healthy. Yet, passive grows fastest when investors lose faith in active.

In a market dominated by passive flows, investing can become reflexive, she adds, driven by money moving in and out rather than by fundamentals. When large sums automatically buy what has already gone up (because it is a bigger part of the index) and sell what has already gone down (because it has shrunk), price moves can start feeding on themselves. This is a practical warning about how crowd behaviour, made frictionless by index products, can amplify extremes.



Nitin Yadav/AI-generated image

### The myth of active underperformance

Bhansali makes a key distinction: the problem isn't active investing but fake active investing. She cites research that uses 'active share' to separate the real from the cosmetic. Her claim is blunt: the headline narrative that 'active underperforms' is influenced by managers who were never truly active in the first place. When you isolate genuinely differentiated managers, the evidence looks very different, including studies that find truly active managers outperforming. In other words, passive triumph has partly been over a straw man: expensive closeted indexing dressed up as expertise.

## Concentration problem no one talks about

Bhansali asks us to look at what passive investing actually does, mechanically. Index funds and many benchmarks are market-cap weighted, meaning that they allocate more to the biggest, most expensive winners, often without asking whether those winners offer good value or have strong balance sheets. This essentially creates a concentrated bet on whatever the market is currently worshipping. This is in contrast to the popular belief that passive funds are less risky. They feel safer because of being systematic. But systematic buying can be systematically wrong at the wrong time. Her point is not that passive investors are foolish. It is that a crowd can be perfectly intelligent and still stampede because it is a crowd.

## A lesson from following the herd

Bhansali uses a late-1990s episode to show how the passive bandwagon can turn from 'smart' to 'sorry'. As she describes it, money at the time left active managers and surged into index exposure linked to tech-heavy benchmarks after strong performance made that exposure irresistible.

But one such index, the Nasdaq 100, fell from around 4,500 in March 2000 to below 1,000 by late 2002, a drop of about 78 per cent. In essence, a million dollars placed into that index exposure, she illustrates, would have shrunk to roughly $220,000. By contrast, US large-cap-blend actively managed strategies over that period declined less, at around 27.2 per cent, becoming roughly $728,000, offering much less wealth erosion.

Now, we should not turn one period into a universal law. But Bhansali's lesson is sturdier than the example: the crowd tends to pile into passivity when it has already worked, which is precisely when the underlying market can be most distorted. She summarises the sting in three ideas:

- Markets do not reward free-riding
- Markets penalise price distortion
- Lemmings do not reach their destination

## Against surrendering your own judgment

If we stitch Bhansali's wording together, the message is less 'choose active' and more 'choose agency'.

Passive investing can be a useful instrument. But it becomes dangerous when it turns into a belief system, when we assume the herd cannot be wrong.

Non-consensus investing, as she frames it, is ultimately a refusal to confuse popularity with truth. Whether we pick stocks, managers or an index fund, the discipline is the same: ask what is priced in, who is doing the hard work and what happens if the crowd is wrong. Because here's the uncomfortable irony her book leaves us with: even choosing to be passive can be an act of herding. And if we want to stand apart, especially in an age of effortless crowding, we may have to stand alone, at least in our thinking. ☑

# A grain of ambition

LT Foods is widening its menu beyond rice. Will it pay off?

Will it puzzle you if a business made handsome returns from just selling rice? After all, how rewarding can this ordinary, humble staple really be? For LT Foods and its shareholders, it has been quite rewarding. Over the past five years, the company has steadily grown revenue by 16 per cent per annum, with profit after tax outpacing it by 19 per cent. Return on equity and return on capital have also averaged at a healthy 17 and 19 per cent, respectively. That is the sound of a good business, even if unglamorous.

The company's flagship brand, Daawat, is among the most popular basmati rice brands in India. It also has a sizable global presence with the Royal basmati rice brand in North America. This region is the most important market, accounting for nearly 46 per cent of revenue. Overall the country supplies basmati rice to 85 countries.

At first glance, the company looks like any other commodity business, a category that doesn't find takers easily, given its limited margin profile. But it will be wrong to dismiss LT Foods as a mere commodity play. It is attempting a reinvention of sorts by adding new lines to its revenue stream and deepening its opportunities overseas.

Vinayak Pathak/AI-generated image

## Changing lanes

The company is working to widen its offerings. Basmati rice remains the bread and butter, making up 88 per cent of the first nine-month revenue in FY26. But this used to be a full 100 per cent in the past. The new space has been carved by two relatively younger but faster-growing segments: organic foods (rice, pulses, grains) and ready-to-heat/ready-to-cook convenience foods. Organic foods made up 10 per cent of sales, with convenience foods making up a tiny 2 per cent in the first nine months of FY26.

Both, while still small, have seen searing growth: the organic food business has grown 20 per cent per annum, and the convenience food segment has grown 31 per cent annually over the last five years, compared to the core basmati rice's 15 per cent growth.

The ventures are thought through. The ready-to-eat market in India is worth nearly ₹10,000 crore and expected to grow in high double-digits. It is especially expected to find demand overseas, where heat-and-eat meals are routinely consumed. Organic foods are also seeing boom in

| ★★★ | 5/10 | 6/10 | 5/10 | 8/10 |
|---|---|---|---|---|
| Stock Rating | Quality Score | Growth Score | Valuation Score | Momentum Score |

Data as of March 5, 2026

## A rich harvest

Revenue has expanded on a slow, steady simmer

| | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| Revenue (₹ cr) | 4,742 | 5,427 | 6,936 | 7,772 | 8,681 |
| Operating profit (₹ cr) | 458 | 474 | 574 | 785 | 793 |
| Op. margin (%) | 9.7 | 8.7 | 8.3 | 10.1 | 9.1 |
| Profit after tax (₹ cr) | 289 | 309 | 423 | 598 | 612 |
| Debt-to-eq. (x) | 0.7 | 0.5 | 0.3 | 0.2 | 0.2 |
| ROCE (%) | 16.2 | 16.1 | 19.1 | 23.2 | 21.4 |

Operating profit is earnings before interest and taxes

demand globally as consumer preference is increasingly growing for healthier diets and chemical-free ingredients.

### Doubling down overseas

The second important growth lever are the overseas markets. North America remains the most attractive market for LT Foods with an opportunity size of more than ₹35,000 crore for basmati and specialty rice, which is expected to grow by a healthy 10-12 per cent. Consumption of basmati rice in the US has steadily increased, driven by demographic shifts, higher acceptance of ethnic cuisines, and the premiumisation of staples.

The Royal brand is already well entrenched here and management intends to deepen penetration by expanding distribution further. Growth in this market matters not just for volumes, but also because branded basmati in developed markets typically enjoys better pricing stability.

### Likely reward of its pivot

The opportunity pool is vast overseas and leaves enough room for the business to grow meaningfully. More material is the addition of new product categories, which can improve the balance sheet.

Basmati rice production is a working-capital-intensive business. Rice needs to be aged for months, sometimes over a year, before it is sold, locking up capital in inventory. This is visible in LT Foods' inventory days, which have always hovered around 160 days over the last decade. As the product mix gradually shifts towards organic and ready-to-cook offerings, the need for long ageing cycles could reduce as these products turn faster and require less inventory holding. This could, over time, significantly improve free cash flows, allowing the business to pursue investments and reduce its reliance on debt, reinforcing the quality of its earnings rather than just growth.

### What to bear in mind

The one thing that must never be forgotten about this business is its nature. It mainly deals with rice, a commodity whose economics is shaped by factors that lie largely outside the company's control. Factors such as crop cycles, weather patterns, export policies, etc., are important and untameable variables.

For the economics to be less fragile, the two new businesses have to grow at a materially faster pace and sustain that momentum over many years to lessen the impact of the core. And in the meantime, the dominance of basmati rice means that a slowdown could still weigh heavily on overall growth. Not to forget the competition its domestic brand faces from other equally popular peers in a less differentiated market.

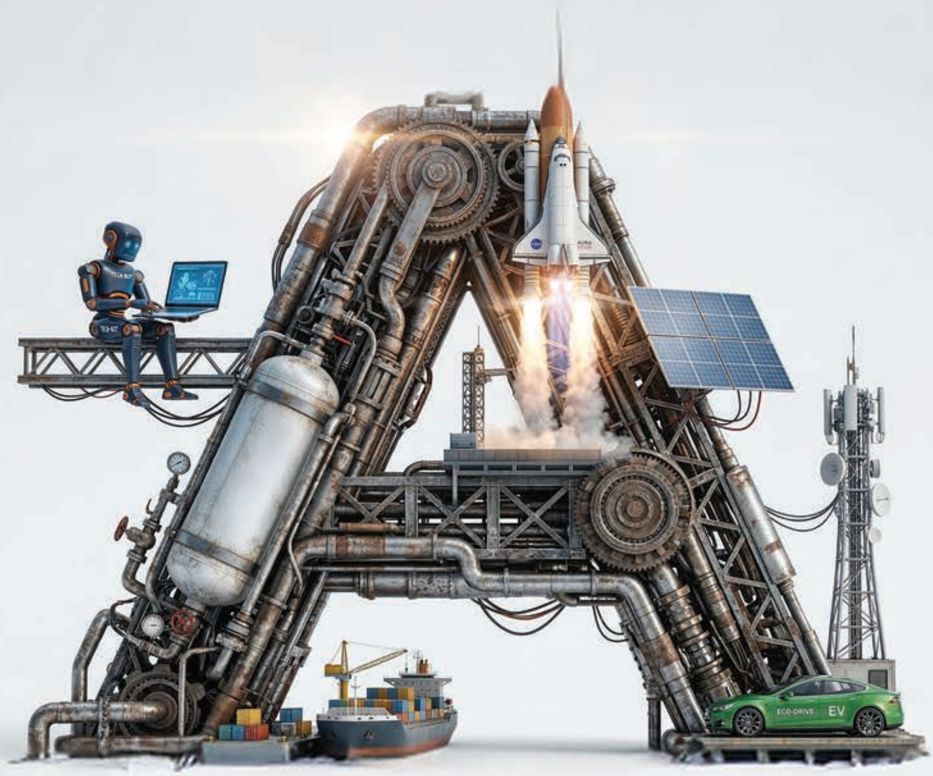
Lastly, the stock's earnings multiple of 21 times is at a noticeable premium to its five-year historical median of 12 times. This is expensive for a business operating in an industry that usually grows only moderately with limited margins. In effect, investors are assigning a premium for the company's ongoing transformation into a more diversified food business. That optimism will hold up only if LT Foods manages to reduce its dependence on existing fragile economics and scale up higher-value products. ☑

**By Abhinav Goel**

ANALYST'S DIARY

# Pipes for the AI age

## Aeroflex is eyeing its next act in cooling AI's hottest machines



Nitin Yadav/AI-generated image

Aeroflex Industries has spent most of its life doing something resolutely unglamorous: moving fluids through factories. Its stainless-steel flexible hoses and assemblies sit inside refineries, chemical plants and rail systems, carrying gases and liquids through industrial processes that rarely attract the market's imagination. Recently, however, the company has begun talking about a very different application for its engineering: liquid-cooling systems for AI data centres.

That is not a transition one typically associates with a hose manufacturer and raises a question that is all too familiar. Is this a genuine industrial adjacency or another case of a company draping itself in AI-laden narratives? To examine that, it helps to understand the company's core business first.

### The core machine

Aeroflex supplies flow-control products (hoses and assemblies) to industries such as oil and gas, petrochemicals, metals and railways. Now it is entering an adjacent product line: liquid-cooling skids that circulate coolant through servers to carry heat away in AI data centres. The core business, therefore, lends the new venture a degree of credibility.

The installed capacity of the hose business stands at around 17.5 million metres per annum and is heading towards 20 million metres as expansions conclude. Exports remain the backbone, contributing roughly 74 per cent of revenue, with the US and Europe making up nearly 85 per cent of those export sales.

More important than headline capacity though is the product mix. Assemblies and other value-added products (which combine hoses with fittings and valves) now account for more than half of revenue, up from a historically much lower share. This matters for two reasons. Assemblies command better margins. That's why the product tilt has lifted profitability, with EBITDA margins rising above 23 per cent in recent quarters as profit growth outpaced revenue. Secondly, assemblies tend to ensure better customer stickiness. Once a supplier is designed into a process, switching can become inconvenient and operationally risky.

| ★★★★ | 7/10 | 6/10 | 5/10 | 9/10 |
|---|---|---|---|---|
| Stock Rating | Quality Score | Growth Score | Valuation Score | Momentum Score |

Data as of March 5, 2026

## An adjacent stride

This operational background supports the move into liquid-cooling skids. Cooling skids for high-performance data centres are not exotic technology. At their core, they are flow-control systems that need to be leak-proof, precise and reliable under continuous operation. In broad industrial terms, that is not far removed from what Aeroflex already does. The application is new. The underlying capability has always been same.

Capacity expansion plans are ambitious. From a current base of 2,000 skid units per annum, Aeroflex is targeting 15,000 units, with the ramp expected to be completed by June 2026. A new dedicated facility is being established alongside the augmentation of existing assembly lines, with total capex kept phased and tied to order visibility. The company also said it has signed an exclusive five-year supply pact with a large US-based client for the Indian market.

## The opportunity in numbers

The potential revenue explains why the story has merited attention. At around ₹3 lakh per skid assembly and 80 per cent utilisation (similar to what the hose business operates at), management estimates that the liquid-cooling business could eventually generate ₹300-350 crore in annual revenue. For context, Aeroflex's total revenue in FY25 was ₹376 crore. That means sales could nearly double if the new segment reaches the projected scale.

The market backdrop is favourable too. The global liquid cooling market is growing at over 30 per cent per year, driven by thermal demands of AI chips and mounting energy pressures on data centre operators, and could leap to $20-21 billion in six to seven years from $3 billion at present.

## Expectations vs execution

The company's strategy is no doubt in the right direction, and the market has taken notice. The earnings multiple has swelled to over 60 times, pricing in most of the growth. This is where the venture's headiness looks risky. There are still many things that need to go right.

For starters, Aeroflex's position in liquid cooling so far rests on a single-client relationship. Much of the projected revenue is dependent on execution over the next few years. That, in turn, depends on sustained demand from the initial client. Any delay in orders or execution could quickly push timelines outward and possibly puncture inflated valuations. There is also the question of competition. The company's first-mover advantage in India will not go unchallenged as the market grows. That more established industrial engineering firms could enter the segment is quite possible.

To sum up, one material risk is enthusiasm outrunning reality. Companies linked to AI infrastructure often attract valuations that assume future growth long before it becomes visible in financial statements. If expectations rise faster than the business itself, even successful execution can struggle to justify the optimism.

Aeroflex, therefore, presents a familiar kind of industrial story: a solid core business with a potentially transformative new opportunity attached to it. The engineering logic behind the move into liquid cooling is clear enough. Whether the numbers will eventually match the narrative is a question that only the next few years can answer. For now, patience may be wiser.

**By Kunal Bansal**

## Profitable plumbing

Margins lifted as the product mix changed towards assemblies

| | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| Revenue (₹ cr) | 145 | 241 | 270 | 318 | 376 |
| Operating profit (₹ cr) | 19 | 43 | 48 | 56 | 68 |
| Op. margin (%) | 13.0 | 17.8 | 17.8 | 17.6 | 18.2 |
| Profit after tax (₹ cr) | 6 | 28 | 30 | 42 | 53 |
| Debt-to-equity (x) | 0.9 | 0.5 | 0.4 | 0.0 | 0.0 |
| ROCE (%) | 15.2 | 36.9 | 31.8 | 26.5 | 22.3 |

Operating profit is earnings before interest and taxes

Aprajita Anushreei/AI-generated image

# PFC's second innings

## How things have turned around for this state-run power lender

Many things are going right for state-run lender Power Finance Corporation, or PFC. A new investment cycle in the power sector, a recovered balance sheet much cleaner from the past and sober valuations, are all working in its favour. A re-rating looks possible, but even without it, the business is staring at meaningful growth, comparable with other large banks and financial institutions trading at multiples higher than PFC's price-to-book of around one. To understand why the picture looks more favourable today, it's important to first dial back to when they weren't.

### What's changed

PFC, long the largest financier to India's power sector, was left bruised six years ago due to the sector's troubles. Stalled generation projects, weak discom (state electricity distribution companies) finances and delayed payments pushed PFC's gross non-performing assets to as high as 9 per cent in March 2019.

But today the picture looks markedly different. By March 2025, gross NPAs have declined to around 2 per cent and the improvement appears largely genuine rather than cosmetic. A good two-thirds of the reduction came from recoveries and resolutions: settlements, asset sales and insolvency proceedings, while the remainder resulted from accounting write-offs after provisions had already been taken.

| ★★★★★ | 10/10 | 7/10 | 7/10 | 4/10 |
| --- | --- | --- | --- | --- |
| Stock Rating | Quality Score | Growth Score | Valuation Score | Momentum Score |

Data as of March 5, 2026

Several factors contributed to this improvement. One of the most visible was the sector's better payment environment as the government's Late Payment Surcharge (LPS) rules forced discoms to clear legacy dues through structured instalments, backed by penalties, including restrictions on power supply for non-compliance. The result today is a material reduction in overdue payments and somewhat greater discipline in the payment chain.

### Where it's headed

India needs power and has massive spending in the offing. Power projects across transmission, generation and renewables are estimated to see government capex of roughly ₹32 lakh crore between FY26 and FY32. Even allowing for possible delays of up to two years, and given that 75 per cent of such projects are funded through debt, this could still translate to roughly

## Turning the corner

PFC's five-year turnaround in numbers

| | FY21 | FY22 | FY23 | FY24 | FY25 |
|---|---|---|---|---|---|
| Loan book (₹ lakh cr) | 7.5 | 7.6 | 8.6 | 9.9 | 11.1 |
| ROE (%) | 28.5 | 28.3 | 27.2 | 28.6 | 27.9 |
| GNPA (%) | 5.3 | 5.0 | 3.7 | 3.0 | 1.6 |
| Net profit (₹ cr) | 15,716 | 18,768 | 21,179 | 26,461 | 30,514 |
| NII (₹ cr) | 26,162 | 30,178 | 29,479 | 32,123 | 40,331 |
| NIM (%) | 3.7 | 4.0 | 3.6 | 3.5 | 3.8 |

GNPA is gross non-performing assets; NII is net interest income; NIM is net interest margin

₹3 lakh crore of annual loan disbursements. PFC together with its subsidiary REC will likely be the key beneficiary. With IREDA in third place, the two account for over 50 per cent of the sector's financing. The management is guiding for around 10–11 per cent standalone annual loan book growth based on this, which given PFC's scale appears achievable if the cycle unfolds as expected.

The combined loan book of PFC and REC also shows newer segments are gaining share. Renewables and transmission projects, together at 20 per cent exposure, are diversifying the book. Both are essential if India's electricity supply is to keep pace with demand. This is happening as exposure to traditional generation projects, which amplified past credit stress as a result of discom finances deteriorating, have fallen materially from 53 per cent at peak stress in 2020 to around 32 per cent today.

### The merger benefits

Another development on the horizon is the proposed merger of PFC and REC. The government has indicated its intention to combine the two lenders into a single entity, and PFC's board has already granted approval. Financially, the merger may not change much. Since PFC already consolidates REC's financials, the combined lending book is already reflected in PFC's numbers. There are benefits still: a unified strategy, simpler governance and more coordinated capital allocation are positives. For retail investors however, details on the share-swap ratio, treatment of minority shareholders and the future dividend framework will be more important to keep an eye on.

### Where risks remain

That PFC deserves attention ultimately rests on one condition: that asset quality remains stable as the next investment cycle unfolds. And that is anything but certain in the financial sector, more so in a corner where concentration risk is the biggest and most material.

PFC's exposure is almost entirely to the power industry. A handful of large borrowers therefore can materially affect provisioning and deal a direct blow to the books. Besides, discom finances although improved remain sensitive to state-level policies and tariff discipline. Payment chains in the power sector have historically strengthened during reform phases only to weaken later.

The newer parts of the loan book also carry their own uncertainties. Renewable energy projects are expanding rapidly but lenders have limited history of how these loans perform over time. Their economics depend on tariffs, execution timelines and policy stability, variables that can shift.

### Entering a new cycle

Infrastructure lenders rarely produce smooth narratives. Cycles tend to be long and uneven. Yet PFC now appears to be entering the next phase of India's power investment cycle with a materially cleaner balance sheet than it had in the previous one. If asset quality holds and power-sector capex accelerates as planned, the lender trading close to book value and earning steady returns begins to look interesting.

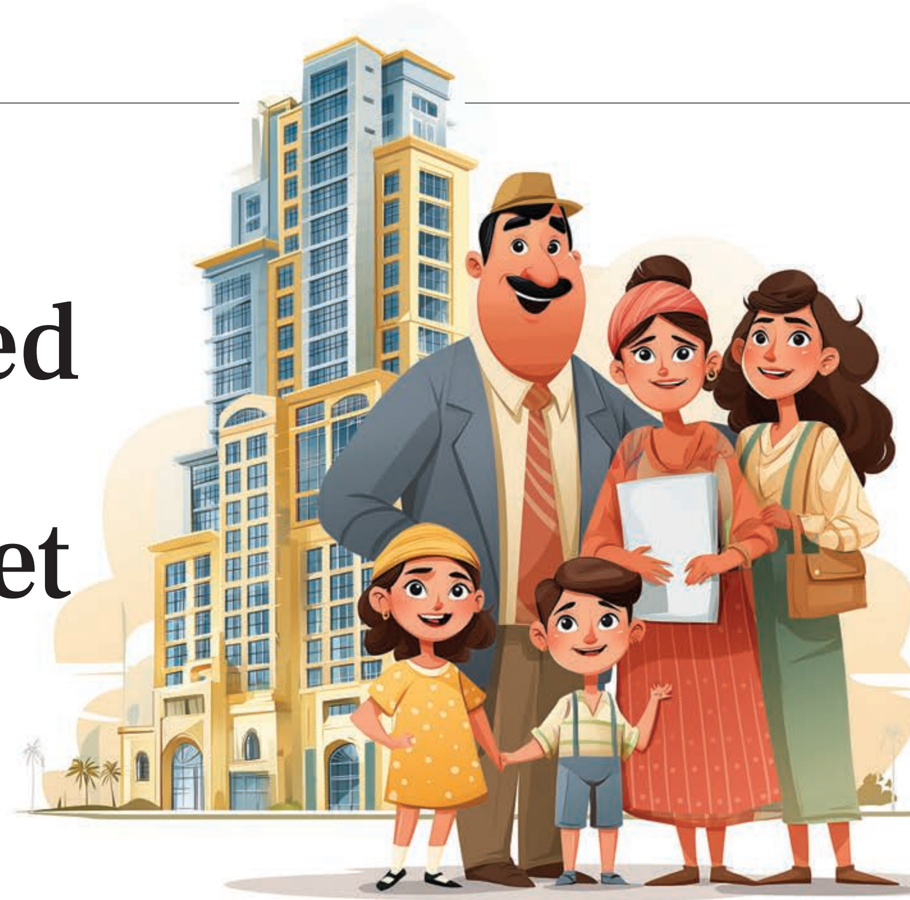
Whether the market rewards it or not will depend less on optimism about India's power ambitions and more on PFC's ability to navigate the next lending cycle with the same discipline that cleaned up the last one. ☑

**By Satyajit Sen**

HOME BUYERS' GUIDE

# The reform that reshaped India's real estate market

## How RERA protects buyers' rights and increases transparency in India's booming real estate market



Sakshi / AI-generated image

Buying a home is the biggest financial decision most Indian families will ever make. For many, it means years of savings, a long-term loan and the hope of a roof they can call their own. Yet for decades, this decision came with risks that most buyers were barely aware of when they signed the agreement.

Builders would collect money from buyers and quietly divert it to other projects. Possession dates would come and go with no consequences. Flats would be sold based on inflated super built-up area figures that bore little resemblance to the actual living space. And when things went wrong, buyers had no dedicated authority to turn to, except the slow grind of civil courts.

The Real Estate (Regulation and Development) Act, 2016, known as RERA, was Parliament's answer to this. It is a central law that establishes a regulatory authority in every state to oversee the real estate sector, mandate transparency from builders and give buyers legal rights they never had before. The Act partially came into force on May 1, 2016 and became fully effective on May 1, 2017.

If you are buying or planning to buy an under-construction property, understanding RERA is not optional. It determines what a builder is legally required to do, what you are entitled to if they fail and how you can protect yourself before you sign anything.

### What RERA requires of builders

The Act places a set of binding obligations on every promoter who registers a project. These are not guidelines; they are legal requirements backed by penalties.

**A written commitment on delivery:** Before RERA, a builder's promise of a possession date was little more than a sales pitch. Now, along with all required documents, the promoter must provide a declaration supported by an affidavit, stating the period within which the project or a specific phase should be completed. This gives the timeline legal standing from the outset. The sale agreement must also specifically state the possession date and the rate of interest applicable in the event of any default.

**Proof of a clean title:** One of the oldest sources of grief for buyers has been projects stalled midway because the builder did not actually hold a clean title to the land. Under RERA, the builder's affidavit must confirm that they hold legal title to the land, along with authenticated supporting documents, particularly if the land is owned by a third party.

**A declaration of no encumbrances:** An encumbrance, such as an existing mortgage or a third-party claim on the land, can prevent the builder from ever transferring a clean title to you. The builder must declare in the affidavit that the land is free from all such encumbrances. This shifts the burden of disclosure squarely onto the builder.

**A ring-fenced project account:** This is arguably RERA's most consequential provision. Builders were notorious for collecting money from buyers of one project and using it to fund another, leaving the first project starved of cash and stuck. RERA makes this illegal. Around 70 per cent of the amount collected from buyers must be deposited in a separate account maintained in a scheduled bank and used only for that project's construction and land costs. The builder can withdraw from this account only in proportion to the project's percentage of completion, after it is certified by an engineer, an architect and a chartered accountant. These accounts must also be audited within six months at the end of every financial year.

**Real penalties for violations:** RERA is designed to make non-compliance genuinely costly. If a promoter fails to register a project and does not comply with the RERA Authority's orders, they face imprisonment for up to three years or a fine of up to 10 per cent of the estimated project cost, or both. For other violations, such as providing false information in the registration application, the penalty is up to 5 per cent of the project cost. Some states have compounded such offences to avoid developers' imprisonment, but the financial penalties remain real.

## What RERA does not cover

**RERA is not a universal shield:** Smaller projects are exempt from registration, such as those built on a plot of less than 500 square metres or with fewer than eight apartments. Renovation and redevelopment projects that do not involve new sales are also outside its scope, as are projects that received a completion certificate before RERA came into full force.

**Enforcement also varies by state:** RERA is a central law, but each state government runs its own regulatory authority. Most states have active RERA portals and functioning authorities. A handful, particularly in the north-east, have been slow to fully implement the law. The quality of enforcement and the speed at which complaints are resolved differ across states.

RERA has significantly improved buyers' odds, but it has not eliminated risk. A builder determined to delay will still find ways to do so. RERA gives you recourse; it does not remove the need for due diligence.

## Your rights if things go wrong

**Right to a refund:** Under Section 18 of the Act, if a builder fails to hand over possession by the agreed date, the choice is entirely yours. You can withdraw from the project and claim a full refund of every rupee paid, along with interest. The Supreme Court has held this right to be absolute and unconditional — the builder cannot deny it regardless of how far along construction is.

**Right to interest on delay:** If you decide you still want the flat and do not wish to exit, the builder must pay you interest for every month of delay until possession is handed over. This is typically calculated at the State Bank of India's Marginal Cost of Funds-based Lending Rate plus 2 per cent.

**Right to compensation for defects:** Section 14 gives you a five-year defect liability period from the date of possession. If any structural, quality, or service defect surfaces within this period, the builder must fix it within 30 days at no cost to you. If they do not, you are entitled to compensation.

## Things to keep in mind

Before booking any flat in a new project, look it up on your state's RERA portal. Every registered project must publicly disclose its approved layout, possession timeline, and the status of all approvals. If a builder claims RERA registration but cannot give you a registration number, that is a red flag.

Keep every document, including your booking letter, payment receipts and all written communication from the builder. If possession is delayed, these are what you will need. Filing a complaint with your state's RERA authority is far faster and cheaper than approaching a civil court.

RERA has shifted the balance of power in favour of the buyer. But it protects those who are informed. Knowing what a builder is legally required to do, and what you are entitled to when they do not, is the best protection you have before you sign on the dotted line. ☑

COVER STORY

# THE ₹100 Lakh Crore Opportunity

## Companies that will capitalise on India's wealth revolution

By Abhinav Goel

Swiggy delivers food to 28 crore Indians. Netflix and its rivals stream to 50 crore. E-commerce reaches 80 crore. The stock market? Just eight crore investors. Mutual funds? Even lower at three-and-a-half crore.

Every one of these services runs on the same ₹25,000 smartphone, the same ₹200 a month data plan, the same Aadhaar-linked identity. Ordering biryani at midnight and starting a ₹500 SIP uses the same digital infrastructure. One category has been saturated. The other has barely begun.

That gap between the reach of India's digital infrastructure and the limited way financial services still use it is the single largest wealth-creation opportunity in the country today. This story maps the scale of that opportunity, proves it is structural rather than cyclical, and identifies the companies best placed to profit from it.

## A financial explosion that has just begun

Before we look ahead, consider what the last decade has produced. Whether it is mutual fund assets, the number of portfolios or demat accounts, each shows a multifold explosion in the last 10 years (see table 'The great market expansion'). Today India's capital markets process over three crore trades, open one lakh new demat accounts and create 1.3 lakh new mutual fund folios every single day*.

And the opportunity is far from over. What powered this expansion: dematerialisation, digital KYC, instant account opening, app-based investing and UPI-linked payments, is now permanent, scalable and more importantly, running at a fraction of its capacity. The system is no longer being built. It is waiting to be used.

## The ₹100 lakh crore opportunity

India's mutual fund industry today manages assets worth ₹82 lakh crore*. Even

## The great market expansion

Investor participation and fund flows multiplied over the last decade

| Particulars | Industry AUM (₹ lakh crore) | Demat accounts (cr) | Net flows in equity funds (₹ cr) | Mutual fund folios |
|---|---|---|---|---|
| **2015** | 12 | 2.3 | 50,354 | 5 |
| **2025** | 82 | 21.6 | 3,50,152 | 27 |
| **Growth (in times)** | 6.8 | 9.4 | 7.0 | 5.4 |

Source: AMFI

## The untapped opportunity

India's digital economy is massive. Its investing population is still small.

(In crore)

| | |
|---|---|
| 144 Population | |
| 136 Aadhar card holders | 120 Internet users |
| 114 Mobile subscribers | 95 Total enrolled voters |
| 80 E-commerce users | |
| 65 Smartphone users | 51 Health insurance users |
| 50 OTT subscribers | 40 Social media users |
| 30 UPI users | |
| 28 Food delivery users | 20 BHIM payment users |
| 9 Digital lending users | 9 E-Sanjeevani Healthcare users |
| 8 Stock market users | 4 Mutual fund investors |

Source: Motilal Oswal Nifty Capital Market Index Fund & ETF Investor Presentation under conservative assumptions, say 9 per cent annual growth, far below its own decade-long run rate of over 20 per cent, that number rises to ₹180–185 lakh crore in seven years. That is roughly ₹100 lakh crore of new financial wealth.

This projection does not require a roaring bull market. It does not require a new government policy. It requires only that India continue doing what it is already doing. And there is reason to believe it will do more, not less.

## How the math holds

Start with where India stands today. Mutual fund assets are just 20 per cent of GDP. The global average is 64 per cent. In the US, it is 124 per cent. This is not a marginal gap but a structural one. And it is not explained by a lack of savings. India saves 30 per cent of its GDP, higher than the global average of 28 per cent. The money exists. It is simply parked elsewhere.

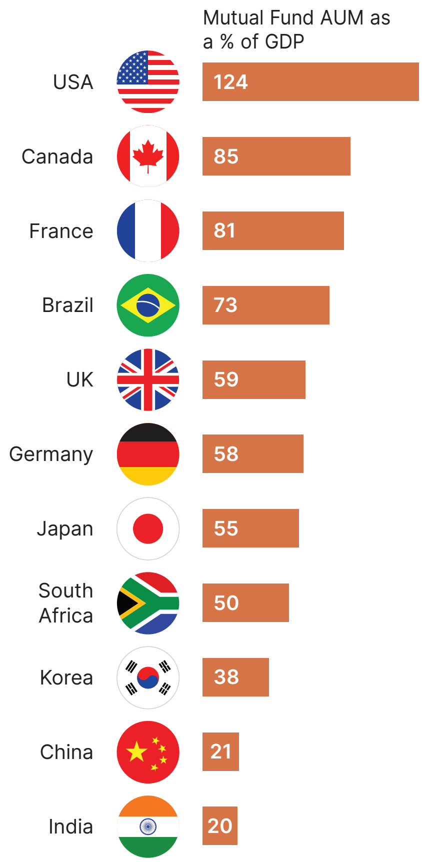
Only 15 per cent of household savings today is allocated to mutual funds and equities. The bulk still sits in fixed deposits, gold, real estate and small savings schemes. But this allocation is already shifting*.

The share of bank deposits in financial savings has fallen sharply, from 58 per cent in FY12 to 35 per cent in FY25. At the same time, industry estimates suggest the share of equities and mutual funds could rise to 24 per cent by FY33*.

That change alone can drive a large part of the expected expansion. And there will still remain a much bigger room for more to come.

## A global comparison

India's mutual fund industry remains small relative to the size of its economy




Source: ICICI Prudential AMC RHP

## Three forces that make this structural

The opportunity is not just plausible. It is being actively built. Not by one trend, but by three. Each is powerful on its own. Together, they reinforce each other.

**The youngest investor base ever.** Nearly 40 per cent of NSE investors are under 30. The median age has fallen from 38 in 2018 to 32 in 2024*.

This is a generational reset. This cohort did not simply adopt digital investing. It started there. Its first account was opened on a phone, not at a bank counter. Crucially, it has three decades of earning, saving and compounding ahead. The base is widening as well. Nearly one in four new investors is now a woman. This is not just a larger market. It is a longer-duration one.

**Financialisation beyond metros.** The first wave came from India's largest cities. The next is coming from everywhere else. Mutual fund assets from beyond the top 30 cities have grown from ₹5 lakh crore in March 2019 to ₹17 lakh crore in March 2025, expanding their share from 21.5 per cent to 26.6 per cent*.

On the BSE, trading activity from cities such as Rajkot, Jaipur, Indore and Kanpur has surged. In several of these markets, direct mutual fund plans now attract more flows than regular plans.

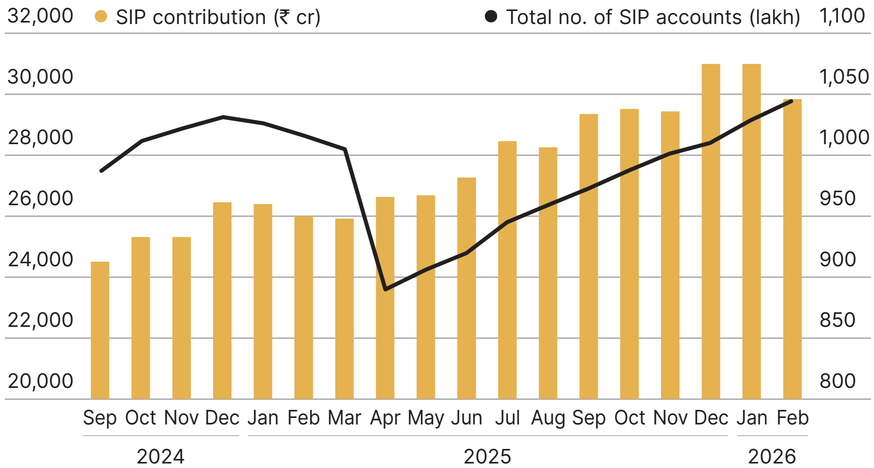
There is a deeper pattern here. States that rank high on direct benefit transfer efficiency (schemes that transfer welfare benefits into bank accounts) are also seeing rising investor participation. When money moves cleanly into bank accounts, it does not stay idle. Financialisation is following formalisation. And formalisation is spreading.

**A habit that survived its first real test.** The strongest trends are those that hold under stress. Between October 2024 and January 2026, Indian equities corrected sharply. The Nifty 50 fell over 12 per cent, with mid- and small-cap indices declining even more. Sentiment turned, but investor behaviour did not.

Monthly SIP inflows did not fall

## The SIP engine of the market

Monthly inflows and account participation continue to rise




Source: AMFI

even once. They rose from ₹24,509 crore to ₹31,002 crore over this period. SIP accounts increased from 9.9 crore to over 10.3 crore. Net equity inflows remained positive through every month of the decline. Even in February 2026, when the correction continued, contributions grew 15 per cent year-on-year (see the graph 'The SIP engine of the market').

India has never before seen investors continue to put money into equities through a prolonged market fall. This is a break from the past that turns what was once episodic into something continuous. And that changes the earnings equation for every business linked to financial markets.

### Who benefits?

Financialisation of savings is a broad theme. But not every financial business benefits equally. Banks and insurance companies, for instance, may benefit at the margins, through fees and distribution, but their core earnings are driven elsewhere: through credit growth, interest rates and premiums.

The real beneficiaries are companies whose revenues rise directly when market participation does: asset managers, registrars, depositories, exchanges and brokers.

Consider what happens when an investor starts a monthly SIP. Money moves to an asset manager (AMC), a registrar maintains the account, a depository holds the units and the transaction passes through platforms and exchanges. At each step, a fee is earned. And some of them earn it next month and the month after in what becomes a steady stream of revenue.

Within the universe, however, gains are not all the same. Some businesses sit at the core of the system, earning regardless of which fund or platform the investor chooses. Some others compete for that choice. Both will grow, but not equally.

Those that combine structural presence and repeatable revenues will capture the bulk of the ₹100 lakh crore opportunity. How to identify them comes next. But first, the risks.

### What could go wrong

No opportunity worth writing about comes without risk. Three deserve serious attention.

**A deep bear market remains untested.** The 2024-25 correction was painful but shallow by historical standards. A 2008-style crash, where portfolios halved over months, would test first-generation SIP investors in ways no current data can predict. Monthly inflows held through a 12 per cent Nifty decline. Whether they hold through a 40 per cent one is a different question.

**SEBI can affect the economics of businesses**. Expense ratio cuts, direct plan mandates, derivatives tightening, lot size increases, the regulator has done all of these, and each compressed the revenue of at least one category of capital market business.

**The theme is already priced.** Several capital market infrastructure stocks are trading at 40 to 60 times earnings. The opportunity is real and the market has known it for a while. The theme is worth owning. But current prices demand patience and a higher margin of safety.

*Sources: Edelweiss BSE Capital Market ETF investor presentation, AMFI, RBI, Role of Capital Market in Financialisation of Savings report by SBI and Motilal Oswal Capital Market ETF investor presentation.

## The capital market ecosystem

Companies that make up India's investing infrastructure

| Distributors / Wealth managers | Stock Ratings |
|---|---|
| Prudent Corporate Advisory | ★★★★★ |
| 360 One Wealth | ★★★ |
| Anand Rathi Wealth | ★★★ |
| Motilal Oswal Financial Services | ★★ |
| JM Financial | ★★★★ |
| Nuvama Wealth Management | ★★ |

| Asset managers | Stock Ratings |
|---|---|
| HDFC Asset Management | ★★★★ |
| ICICI Prudential AMC | ★★★ |
| Nippon Life India Asset Mgmt. | ★★★★★ |
| UTI Asset Management | ★★★★★ |
| Canara Robeco AMC | ★★★★ |
| Aditya Birla Sun Life AMC | ★★★★★ |

| Asset managers | Stock Ratings |
|---|---|
| Edelweiss Financial Services | ★★★★ |

| Brokers | Stock Ratings |
|---|---|
| Angel One | ★★★ |
| Groww | ★★★★★ |
| IIFL Capital Services | ★★★★★ |
| 5Paisa Capital | ★★★ |
| Anand Rathi Share & Stock Brokers | ★★★★ |
| Geojit Financial Services | ★★★ |

| Exchanges | Stock Ratings |
|---|---|
| BSE | ★★★★ |
| MCX | ★★★ |
| IEX | ★★★★★ |

| Depositories | Stock Ratings |
|---|---|
| CDSL | ★★★★ |
| NSDL | ★★★ |

| Infrastructure | Stock Ratings |
|---|---|
| CAMS | ★★★★ |
| Kfin Technologies | ★★★★ |
| Protean eGov Technologies | ★★★ |
| DAM Capital Advisors | ★★★★★ |
| Emkay Global Financial Services | ★★★ |
| CRISIL | ★★★★ |
| ICRA | ★★★★★ |
| CareEdge Ratings | ★★★★ |

# Finding potential winners

The opportunity is clear. The harder task is identifying which businesses will capture it most effectively. We focused only on companies whose revenues rise directly with investor participation in financial markets, thus excluding banks, NBFCs and insurance companies. After narrowing our universe, we applied three filters.

**1) Structural positioning.** Does the company occupy a critical part of the capital markets infrastructure, or hold a clear leadership position in its category? A registrar servicing most mutual fund folios, or a depository operating in a tightly regulated duopoly, benefits regardless of which fund or platform the investor chooses. This is very different from businesses where market share can shift easily.

**2) Competitive moat.** How durable is the advantage? We looked for four types of moats:

- Regulatory (for instance, a limited number of licences)
- Switching costs (where changing the service provider is difficult)
- Scale (larger players can capture a bigger share of profits)
- Network effects (where value rises as more participants join)

Companies with multiple reinforcing advantages are ranked higher.

**3) Revenue quality.** We distinguished between recurring and activity-linked income. A fee on assets under management, a per-folio charge or an annual account fee grows steadily with participation. Brokerage and transaction fees depend more on market activity. Both benefit from the trend, but recurring revenues are more predictable across cycles.

Eight businesses stood out on these qualitative parameters. Those with near-monopoly positions, stacked moats and recurring revenues are categorised as **big winners**, while those that stand to benefit meaningfully but operate in more competitive or cyclical segments are categorised as **winners**. A third group, **losers**, consists not of companies but categories that financialisation is gradually displacing.

Readers must bear in mind that these are not recommendations, but a shortlist of businesses that appear well placed within this trend and merit further research. For specific stock recommendations, consider exploring **Value Research Stock Advisor**, our dedicated equity research service.

# Computer Age Management Services

BIG WINNER

| ★★★★☆ Stock Rating | 34.6 Current P/E | 16.8 5Y revenue growth (% pa) | 44.9 5Y average ROE (%) | 40.4 FY25 EBIT margin (%) |
|---|---|---|---|---|

Computer Age Management Services (CAMS) runs the back office of India's mutual fund industry. As the largest registrar and transfer agent, it processes transactions, maintains investor folios and handles servicing between fund houses and investors. Handling 68 per cent of industry AUM, it is the dominant player. In FY25, it serviced ₹44 lakh crore in mutual fund assets, earning fees linked primarily to fund assets, with a smaller share from transactions and account maintenance.

### Why it benefits

Every rupee that moves into a mutual fund creates work for CAMS: a folio to open, a transaction to process and a record to maintain. Because CAMS already handles the majority of the industry, a large share of this incremental activity flows through its systems almost automatically. Its growth is not a bet on winning new business. It is a bet on the industry growing at all.

### What gives it an edge

Switching registrars means migrating crores of investor records and transaction histories, an operational risk few fund houses are willing to take. This makes clients sticky in a way that contracts alone cannot explain. CAMS' largest clients have stayed with it for over two decades on average. Its revenues are largely recurring: fees accrue on existing AUM even without fresh inflows, and ongoing transactions and account servicing add to it steadily.

### Risks to watch

Volume growth doesn't guarantee revenue growth. Large clients can, and often do, renegotiate fees. The management has already signalled a price reset in parts of the business. A prolonged market correction can slow new folio creation and dampen transaction activity, compressing both revenue lines simultaneously.

# Central Depository Services (India)

BIG WINNER

| ★★★★☆ Stock Rating | 52.1 Current P/E | 29.8 5Y revenue growth (% pa) | 28.9 5Y average ROE (%) | 53.2 FY25 EBIT margin (%) |
|---|---|---|---|---|

Central Depository Services holds India's financial assets in electronic form (shares, bonds, mutual fund units), and enables their transfer every time an investor buys or sells. Think of it as the vault that the entire market depends on. It is the larger of India's two depositories, with roughly 80 per cent share in retail demat accounts. By March 2025, around 15 crore accounts sat with CDSL, holding ₹70.5 lakh crore in securities.

### Why it benefits

Every new investor entering the market needs a demat account. That makes CDSL's growth almost mechanical. As participation widens, so does its account base. India crossed 19 crore demat accounts in total, and CDSL alone added 3.7 crore in FY25. As household savings continue shifting to the market, rising account openings and transaction volumes will benefit CDSL.

### What gives it an edge

SEBI permits exactly two depositories in India. That regulated duopoly means no new competitor can enter, regardless of capital or technology. Within that structure, CDSL has built deep integration, working with over 570 depository participants and reaching nearly every pin code in the country. Once embedded into trading and settlement systems, it is not a relationship anyone replaces lightly. A large share of its revenue recurs automatically: annual maintenance charges on existing demat accounts earned from brokers and custody fees on securities held, independent of trading volume.

### Risks to watch

A prolonged market slowdown reduces new account additions and transaction volumes. Regulatory changes to fee frameworks can shift the economics quickly, as the industry has seen before.

# ICICI Prudential AMC

BIG WINNER

| Stock Rating | Current P/E | 5Y revenue growth (% pa) | 5Y average ROE (%) | FY25 EBIT margin (%) |
|---|---|---|---|---|
| ★★★☆☆ | 53.5 | 19.9 | 80.2 | 71.3 |

ICICI Prudential AMC is India's second-largest fund manager with ₹10.8 lakh crore in quarterly average mutual fund assets and a 13.3 per cent market share as of December 2025. Its products span mutual funds, portfolio management services, alternative investment funds and advisory mandates. While most investors enter through mutual funds, PMS and AIFs serve wealthier clients, opening a second and faster-growing revenue stream as Indian wealth expands. It holds leadership in hybrid funds, commanding over a quarter of the category's AUM.

### Why it benefits
Financialisation directly expands the asset base available to fund managers. As more investors adopt mutual funds and invest through SIPs, inflows become consistent. This increases AUM, which drives fee income. ICICI Prudential AMC also benefits from participation across segments, allowing it to capture flows beyond equity funds.

### What gives it an edge
Scale and distribution are hard to replicate. The company reaches over 1.6 crore investors through a network of more than one lakh partners spread across the country. Its hybrid fund leadership gives it a differentiated product in a category that suits first-time equity investors. Fees accrue on existing AUM regardless of fresh inflows, giving the revenue base a degree of resilience through market cycles.

### Risks to watch
ICICI Prudential AMC's earnings are linked to market conditions and sentiment. Market corrections can reduce AUM and inflows. Regulatory limits on fees and distribution practices can affect profitability. Competition is intense, making consistent performance and product positioning critical for ICICI Prudential AMC.

# HDFC AMC

BIG WINNER

| Stock Rating | Current P/E | 5Y revenue growth (% pa) | 5Y average ROE (%) | FY25 EBIT margin (%) |
|---|---|---|---|---|
| ★★★★☆ | 35.6 | 16.8 | 29.1 | 78.1 |

HDFC AMC is India's third largest fund house managing ₹9.3 lakh crore in quarterly average assets across equity, debt and liquid schemes as of December 2025. With an 11.4 per cent market share and over 1.5 crore investors, it is one of the most deeply distributed franchises in the industry. Unlike ICICI Prudential, which leans on product breadth and alternatives, HDFC AMC's edge is simpler and older, a brand that investors have trusted.

### Why it benefits
As market penetration scales, HDFC AMC's business increases. Its mix skews towards equity-oriented schemes (₹6 lakh crore of assets), which carry higher fee rates than other categories, meaning the shift in investor preference towards equity, if it continues, works in its favour. Because fees are charged as a percentage of assets, AUM growth also provides operating leverage, with revenues rising faster than costs over time.

### What gives it an edge
Brand trust is an underrated moat in asset management. Investors making their first mutual fund investment tend to gravitate towards names they recognise and HDFC is among the most recognised in Indian finance. That recognition, built over decades, feeds a distribution network of over one lakh partners reaching urban and semi-urban investors alike. Fees continue to accrue on existing assets regardless of fresh inflows, providing a steady revenue floor.

### Risks to watch
HDFC AMC's business is tightly linked to markets. Prolonged downturns can reduce inflows and compress AUM. Regulatory changes, especially on expense ratios, can affect margins. Competition remains intense, making performance and distribution strength central to flows.

# Nippon Life India AMC

WINNER

| ★★★★★ Stock Rating | 37.0 Current P/E | 19.6 5Y revenue growth (% pa) | 26.4 5Y average ROE (%) | 63.2 FY25 EBIT margin (%) |
|---|---|---|---|---|

Nippon Life India AMC is India's fourth-largest fund house. With over ₹2.1 lakh crore in ETF assets and a market share exceeding 20 per cent, it is the country's largest ETF player. As of December 2025, it managed ₹7.1 lakh crore in mutual fund assets.

### Why it benefits

Passive investing is a fast-growing corner of the mutual fund industry. As more retail investors seek low-cost market exposure and institutions increasingly allocate through index products, ETF flows are growing rapidly. Nippon is better positioned than most to capture this shift, given its passive product range and track record. The broader financialisation tailwind lifts all AMCs and for Nippon, the passive wave is an additional engine.

### What gives it an edge

Scale in passive investing creates a self-reinforcing advantage. Larger ETFs are more liquid, which attracts more institutional participation, which makes them larger still. Nippon's early lead in building out India's widest ETF suite is difficult to replicate quickly. It serves over 2.2 crore investors across retail and institutional segments, giving it distribution depth newer players lack.

### What to watch

Being tilted towards passive products, it charges lower expense ratios than active peers, which means its fee income grows more through volume than through pricing. This also explains why passive products are structurally low-margin. Since every ETF tracking the same index is essentially identical, competition plays out on cost and liquidity rather than performance. As larger AMCs aggressively expand passive offerings, Nippon's fee yields can face downward pressure and growth in AUM may not fully offset compression in what it earns per rupee.

# Billionbrains Garage Ventures (Groww)

WINNER

| ★★★★★ Stock Rating | 54.0 Current P/E | NA 5Y revenue growth (% pa) | NA 5Y average ROE (%) | 60.2 FY25 EBIT margin (%) |
|---|---|---|---|---|

Operated by Billionbrains Garage Ventures, Groww is India's largest retail stockbroker in the cash segment. By December 2025, it held a roughly 29 per cent share of average daily turnover in retail cash trading, with over two crore transacting users. Unlike depositories or registrars, Groww earns through brokerage and transaction fees, revenues that depend on continuous trading activity.

### Why it benefits

Every new investor entering the market needs a platform to invest through and Groww sits at that entry point. As participation expands with more users and more transactions, rising volumes flow through its system. The financialisation wave is most visible here: it shows up not in AUM figures but in daily active users and trade counts.

### What gives it an edge

A frictionless app experience has made Groww the default choice for younger, first-time investors. That early relationship has value: users who start with stocks and mutual funds often migrate into higher-value segments like derivatives over time, increasing the business's revenue contribution. Scale also creates stickiness. Investors are less inclined to migrate once their holdings, history and habits are established.

### Risks to watch

This is the most competitively exposed business in this list. There are no regulatory moats as Zerodha, Angel One and others compete for the same users. SEBI caps any single broker's share of derivatives open interest at 15 per cent. Simply put, no broker can dominate derivatives activity beyond a point. This effectively puts a ceiling on market share in the most lucrative segment of broking. Also, when markets fall, trading volumes and revenues follow directly.

# National Securities Depository

WINNER

| ★★★☆☆ | 50.8 | 34.2 | 18.7 | 23.9 |
|---|---|---|---|---|
| Stock Rating | Current P/E | 5Y revenue growth (% pa) | 5Y average ROE (%) | FY25 EBIT margin (%) |

National Securities Depository, like CDSL, holds and transfers securities in electronic form. The difference lies in who they serve. CDSL is tilted towards retail investors, with a large number of small demat accounts. NSDL, in contrast, is focused on institutions. Its assets under custody are worth ₹464 lakh crore because it primarily services foreign portfolio investors, large corporates and debt issuers, accounts that are few but larger in size.

### Why it benefits

As financialisation deepens, the volume of securities held in demat form grows with more issuers and more transactions. NSDL benefits from this across the board, but particularly at the institutional end. It has near-complete dominance in foreign portfolio investor accounts and corporate debt, two segments that expand as India's capital markets mature and attract deeper global participation.

### What gives it an edge

NSDL operates within the same regulated duopoly as CDSL, where entry is not easy. But NSDL's institutional hold runs deeper than regulation alone. FPIs, large corporates and debt issuers are embedded in its systems through years of integration. Switching is costly, slow and operationally risky. A significant share of revenues recurs through custody fees and annual maintenance charges, making NSDL relatively insulated from short-term swings.

### What to watch

NSDL's institutional focus brings stability but less direct exposure to the retail participation boom driving much of the current excitement. Growth is tied to overall market expansion rather than the surge in retail investors. In a slow market, both custody additions and transaction-linked revenues soften together.

# Bombay Stock Exchange

WINNER

| ★★★★☆ | 52.2 | 54.4 | 13.1 | 52.0 |
|---|---|---|---|---|
| Stock Rating | Current P/E | 5Y revenue growth (% pa) | 5Y average ROE (%) | FY25 EBIT margin (%) |

BSE is one of India's two stock exchanges, providing the marketplace where equities, derivatives, currencies and bonds are traded. It primarily earns through transaction charges, listing fees from companies raising capital, and fees from data services and colocation. Nearly 61 per cent of revenue in the first nine months of FY26 came from equity derivative volumes.

### Why it benefits

For an exchange, growth is driven by activity. As more investors enter the market, trading volumes rise, directly lifting transaction revenues. At the same time, deeper capital markets bring more companies to list and raise money, adding to listing fees. BSE has facilitated over ₹21 lakh crore of fund mobilisation. As participation broadens and markets deepen, both trading and capital-raising activity scale up together, reinforcing its revenue base.

### What gives it an edge

It benefits from a self-reinforcing dynamic: liquidity attracts more liquidity. Once a critical mass of buyers and sellers trade on a platform, the cost of moving elsewhere becomes prohibitive. Costs are largely fixed, so incremental volumes drive operating leverage. Its diversification across listings, data services and mutual funds gives it revenue levers that a pure-play trading venue would not have.

### Risks to watch

NSE dominates derivatives trading, which is the most profitable segment of the exchange business, and BSE's largest revenue driver. Liquidity in this segment has shown little inclination to migrate. In a business where NSE takes most of the market share, BSE's ability to sustain and grow its derivatives traction is the single most important variable to watch.

# The losers

Every structural shift rewards some businesses and renders others obsolete. India's shift towards capital markets is no exception. As savings move away from physical assets and opaque products towards transparent, market-linked instruments, parts of the old ecosystem are steadily losing relevance.

### Physical gold

It remains culturally embedded, but its role as a default savings vehicle is weakening. Younger investors increasingly prefer financial formats such as gold ETFs (exchange-traded funds) and sovereign gold bonds, which offer the same price exposure without storage costs, purity concerns or liquidity constraints. The shift is gradual, but the direction is clear: ownership is moving from lockers to ledgers.

### Endowment insurance

A deeper disruption is underway in traditional endowment insurance. For years, these products thrived on complexity, blending low-return investments with insurance and selling them as safe savings. That advantage is fading. Better disclosure, tighter regulation and the growing acceptance of pure-term insurance have made costs and returns easier to compare. When investors can separate protection from investment and access mutual funds directly, bundled products begin to look inefficient.

### Distribution layer

The squeeze is sharpest in distribution. Small, relationship-driven distributors and unregistered advisors are finding it harder to compete. Compliance requirements have risen and digital platforms have scaled rapidly, offering lower costs and wider choice.

Distribution is shifting from fragmented and relationship-driven to formal and platform-based. The common thread across these segments is this: they relied on friction, opacity or habit.

Financialisation reduces all three. These are not cyclical declines. They represent structural erosion. And unlike winners, which often evolve, many of these models are unlikely to recover. ☑

**HITEN JAIN**
FUND MANAGER AT INVESCO MUTUAL FUND

# 'We are currently in a favourable credit cycle'

Invesco Mutual Fund's Hiten Jain on the improving asset quality and expanding credit cycle in Indian public-sector banks

India's public sector banks are seeing strong credit growth alongside a sharp improvement in asset quality, with non-performing assets at multi-year lows. However, Invesco Mutual Fund's Hiten Jain believes this improvement is largely cyclical rather than structural, based on historical trends. He also highlights the strength of corporate and banking balance sheets, which have helped limit sharp market corrections and supported ongoing credit expansion.

Jain is currently a Fund Manager at the fund house, where he manages six schemes with assets of around ₹10,800 crore. The Invesco India Financial Services Fund, Invesco India Focused Fund and Invesco India Largecap Fund are all rated four stars by Value Research. Jain has over 17 years of experience across equity and fund management Previously, he has worked with CRISIL and Dunia Finance LLC, Dubai. Jain holds a BE from Mumbai University, a Global MBA in Finance from S.P. Jain Centre of Management and is a Chartered Financial Analyst.

In this interview, Jain also shares his views on deposit trends, risks in unsecured lending, rising competition from NBFCs and the rationale behind his funds' relatively low exposure to PSU banks.

## Invesco India Financial Services Fund | AUM: ₹1,650 crore

**Credit growth has remained strong, but deposit growth has been slower. What resulted in this gap in the first place, and how do you think it will evolve?**
Deposit growth has been steady, largely in the range of 9-11 per cent, whereas advances growth has been far more volatile. It moved from about 8-9 per cent to nearly 16 per cent, then slowed back to 9 per cent, and more recently has picked up again to around 13-14 per cent. By contrast, deposit growth has remained stable at 10-11 per cent.

However, I do agree that deposit growth has not accelerated as much as one would have expected, given that credit growth was running at 15-16 per cent, because, ideally, credit expansion should eventually translate into higher deposits.

Part of the explanation lies in the liquidity conditions in the system. If we go back about six quarters, liquidity in the system was deliberately kept quite tight. At that time, the regulator was more focused on managing inflation, while the government maintained fiscal discipline. When both fiscal and monetary authorities operate in a relatively tight mode, system liquidity does not expand easily. As a result, the strong credit growth that we saw earlier eventually slowed down to around 8-9 per cent.

More recently, especially after the change in the RBI governor, we have seen a shift in policy stance. The focus has gradually moved from inflation management to supporting growth. This is reflected in measures such as interest rate cuts and reductions in the cash reserve ratio. Additionally, the regulator has been providing more liquidity to banking. Because of this liquidity push, we have recently seen credit growth beginning to accelerate again.

If global conditions had remained stable, particularly if crude prices had not risen sharply, we might have seen this trend continue. With inflation largely under control earlier, sustained liquidity support could have allowed credit growth to remain strong for a few more quarters, which in turn would likely have helped deposit growth pick up as well.

However, the recent rise in crude prices introduces new uncertainties, particularly around the current account deficit and inflation outlook. If crude prices remain elevated for a prolonged period, it may once again have to focus more on controlling inflation rather than liquidity. In that case, credit growth could slow again. In my view, the divergence between credit and deposit growth has largely been cyclical and could normalise over time, depending on liquidity.

> **While increasing flows into capital markets may not be ideal from banks' perspective, it shows a structural shift in savings behaviour that they will likely have to adapt to**

At the same time, there is a structural shift in the nature of deposits. Earlier, many banks had CASA ratios of 40-45 per cent, but those numbers have now declined to roughly 30-35 per cent. To some extent, this reflects a positive change in customer behaviour. People have become far more active in managing their savings. Instead of keeping large balances in low-yielding savings or current accounts, many individuals are allocating more money to capital markets and investment products in search of higher returns.

This trend has been supported by strong participation in equity markets and mutual funds. As a result, a portion of retail deposits that would traditionally have remained within the banking system is now flowing into capital markets. While this may not be ideal from a bank's perspective because banks prefer stable, low-cost deposits, it represents a structural shift in savings behaviour that the banking system will likely have to adapt to over time.

**Asset quality across public sector banks has improved sharply, with GNPA levels falling to multi-year lows. Do you think this improvement is structural?**
In my view, asset quality is rarely structural; it is largely cyclical. However, looking at past trends, these cycles tend to be quite long, which can give the impression that the improvement is structural.

If you analyse the past 30 years, or even longer, you will notice that a typical credit cycle lasts 7-10 years. For instance, between 2010 and 2020, India went through a fairly weak credit cycle. During that period, concerns around NPAs dominated the Banking sector. Banks were under constant pressure to clean up their balance sheets, and the regulator was actively pushing for recognition and resolution of stressed assets.

After that prolonged weak phase, we are now in a positive credit cycle. Today, the focus has shifted away from asset quality concerns towards credit growth and expansion. From a market perspective, this is a very constructive environment. One reason we do not see very sharp corrections in the market is that corporate and banking balance sheets are currently quite strong, reflecting the strength of the ongoing credit cycle.

This current cycle likely began post-Covid, around 2022-23. If we go by historical patterns, such cycles can last 7-8 years. Thus, from that perspective, we are probably no longer at the very beginning, but are still somewhere in the expansion phase of the credit cycle.

Having said that, even within a broader credit cycle, there will always be smaller lending segments that go through shorter cycles. For example, sectors such as microfinance and credit cards tend to have shorter, sharper cycles than the broader banking system. Hence, while the overall credit cycle may remain positive, certain segments may experience temporary stress or corrections.

Therefore, I would say that we are currently in a broadly favourable credit cycle, but within that, different segments will go through their own mini cycles from time to time.

**The share of unsecured advances in bank credit has increased to around 25 per cent in FY25 from around 16 per cent a decade ago. Do you see this as a structural expansion of consumer credit in India, or a potential source of risk if the cycle turns?**

Yes, to some extent, this is a concern. If we look at the consumer debt relative to GDP, particularly outside mortgages, which are largely unsecured, the levels have increased meaningfully. Because of that, it is a segment that needs to be watched carefully.

In fact, the regulator had flagged this issue last year, suggesting that excesses could be building in certain pockets of unsecured lending. However, despite those concerns, we have not yet seen any significant deterioration in asset quality. More recently, banks and NBFCs have again started indicating that the growth in this segment has resumed.

So on the ground, there are no immediate signs of stress, but it is clearly a segment that requires close monitoring. Ultimately, the sustainability of unsecured lending is closely linked to economic income growth. If the broader macroeconomic environment remains supportive and corporate investment begins to pick up, that would lead to higher job creation and rising income levels, supporting borrowers' repayment capacity.

Another factor to consider is the IT sector, which is a major employment generator in India. Over the past two years, the sector has faced some slowdown. If growth in the IT sector revives, it could also boost income levels, which, in turn, would support consumer credit trends.

At the same time, it is important to recognise that India is a growing economy, and the country's per capita income has now crossed roughly $2,500. Historically, once economies cross this level, consumer aspirations tend to rise. People develop a clearer line of sight into future income growth and are therefore more willing to borrow to bring forward consumption.

Therefore, to some extent, an increase in unsecured lending is a natural outcome of rising aspirations and economic development. However, it still remains a segment that needs careful monitoring. Sustained income growth, driven by a stronger corporate cycle and improving employment conditions, will be essential to ensure that this expansion in consumer credit remains healthy and manageable over time.

**Sustained income growth, driven by a stronger corporate cycle, will be key to ensuring that unsecured lending remains healthy and manageable over time**

**As India's capital markets deepen, which parts of the ecosystem offer the biggest opportunity?**

It is definitely an exciting space. Just like I mentioned earlier in the context of technology, that businesses using technology can qualify as technology companies even if they are not traditional IT services firms, I believe something similar applies to the capital markets ecosystem within financial services.

If you look at most financial services indices today, the capital markets segment is still under-represented. Only recently have we seen a slight increase in the weight of non-lending financial businesses in these indices, but historically, the representation has been limited.

At the same time, this is a

relatively new and evolving sector, as over the past four to five years, many companies in this space have entered the market. These include wealth management firms, asset management companies, brokerage platforms and other market infrastructure providers. As a result, the investment universe in this segment has expanded significantly.

Another major factor supporting this space is the digitisation of financial services in India. Initiatives such as UPI, e-KYC and digital onboarding have made it much easier for individuals to participate in financial markets. These developments have helped capital market businesses scale rapidly.

At a broader level, this trend is also supported by the theme of financialisation of savings. As a country's per capita income rises, people begin to think more about investing and wealth creation. India's per capita income has been steadily increasing, and as income levels improve, more individuals are allocating towards financial assets.

Digitisation has also accelerated the spread of financial knowledge. Through social media, financial influencers and online platforms, information about investing reaches people much faster than before. This has encouraged greater retail participation in the markets.

What makes the capital markets ecosystem particularly interesting is that many parts of the value chain have very strong market structures. For instance, when you look at stock exchanges, there are only a handful of players. In equities, there are essentially two dominant exchanges. In commodities, there is only one. Similarly, in the depository space, there are only two major depositories. Even in registrars and transfer agents, number of players is limited.

> **Compared to private banks, PSU banks still have lower loan-to-deposit ratios. This gives them more headroom to grow their loan books and capture market share.**

Of course, asset management is a more competitive industry, but it also benefits significantly from country's structural theme of financialisation.

So overall, I think this ecosystem offers interesting opportunities, and investors can identify compelling bottom-up ideas across the value chain, depending on the broader themes playing out in the economy.

**Where do you currently see the most attractive opportunities within financial services and which parts of the sector look overheated to you?**

When we look at financial services broadly, the sector can essentially be divided into lenders and non-lenders. Within lenders, you have NBFCs, private-sector banks and PSU banks. So, while we often refer to financial services as one sector, in reality, it consists of distinct sub-segments.

What is interesting today is that we are currently in an expanding credit cycle, and as a result, many of these lending segments appear attractive. For example, in my fund, prior to Covid, we had no exposure to PSU banks because we were going through a weak credit cycle and faced significant asset quality concerns in that space. We did not want to invest in businesses where balance-sheet stress remained a major issue.

However, the situation today is quite different. We now have exposure to PSU banks, mainly because they are currently gaining market share. Recent trends suggest that PSU banks have been able to grow both loans and deposits faster in certain areas. One reason for this is the issue you mentioned earlier regarding deposit growth being relatively slower. This has pushed private banks' loan-to-deposit ratios higher, while PSU banks are still operating at relatively lower ratios. As a result, PSU banks currently have more headroom to grow their loan books and capture incremental market share.

The key point is that, on the lending side of financial services, several sub-segments remain attractive. That also gives investors a broader universe from which they can identify potential wealth-creating opportunities.

On the non-lending side, which includes businesses such as exchanges, brokers, wealth managers and asset management companies, valuations are relatively higher. However, these businesses also offer stronger structural growth for the reasons we discussed earlier: digitisation, rapid dissemination of financial knowledge, increased retail participation and the broader theme of the financialisation of savings in India.

Therefore, if you look purely from a valuation perspective, the non-lending side may appear more expensive compared to traditional lenders. However, once you adjust for the higher growth potential, valuations may not necessarily look excessive. Within this segment as well, investors can still find pockets of opportunity where growth is strong enough to justify the current valuations. ☑

Nitin Yadav/AI-generated image

# The risk of the manager

## How a fund manager can make, or break, your active fund's returns

When you invest in an actively managed mutual fund, you are making two bets simultaneously. The first is on the market. The second, less visible and rarely discussed, is on a person.

That person is the fund manager. Unlike market risk, which investors knowingly accept as the price of equity investing, manager risk arrives without warning. Most investors do not realise they are carrying it until something changes, and the fund they thought they owned turns out to be something else entirely.

Performance track records are presented as though they belong to a fund, but they actually belong to the one who ran it. Change that individual, and you may be holding an entirely different investment wearing the same name. Passive investing removes this problem. But to understand how, you first need to see what manager risk actually costs

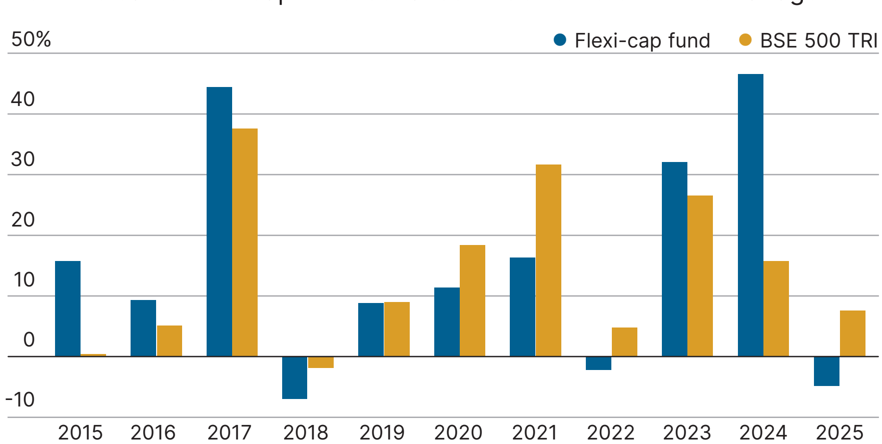
### When the manager changes, so does everything

A flexi-cap fund from 2015 to 2017 delivered consistent returns, outpacing the broader market index by a meaningful margin. Investors who entered during that period had reason to feel confident. The fund had built a reputation; the numbers made the case.

In April 2019, the manager changed and what followed was three years of disappointment. From 2019 through 2022, the fund repeatedly trailed its benchmark. Investors who had bought in on the strength of the

### The manager effect

How the same flexi-cap fund behaved under different fund managers



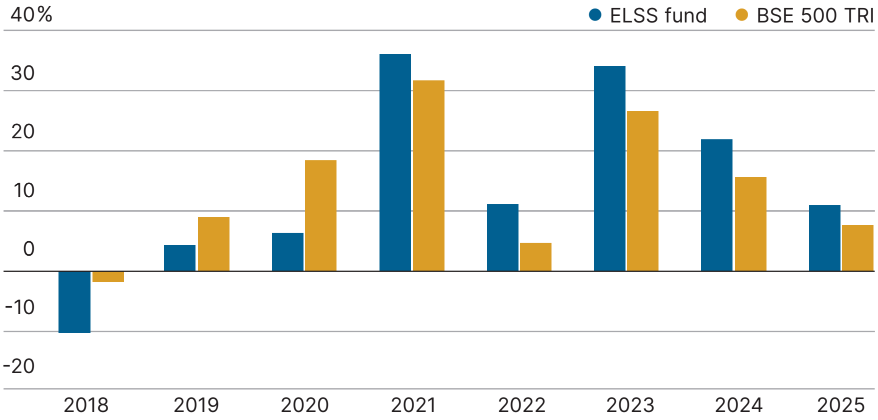
earlier record now held an underperformer. Not because the market failed them, but because the person calling the shots changed.

Then came another managerial transition in mid-2022, along with a sharp shift in investment strategy. The fund bounced back strongly, outperforming in 2023 and 2024. But the recovery was volatile. By 2025, it had slipped sharply again.

Over a decade, the same fund cycled through outperformance, prolonged underperformance and a volatile revival, with each arc depending on who was driving it.

### A change for the better

How the ELSS fund returns shifted after managerial change




### A good outcome is not a known one

A second example is sharper. This is about a tax-saving equity fund, which, by category design, comes with a mandatory three-year lock-in. Between 2018 and 2020, this fund consistently underperformed the benchmark. For investors locked in by regulation, there was no escape route. They could only sit and watch. In January 2021, a new manager took charge. Since then, the fund has done markedly better, outpacing the benchmark with consistency.

For investors who were locked in during the difficult years, the managerial change worked in their favour. But that is not a conclusion you can bank on in advance. A new manager might rescue a struggling fund as in this case. Or they might inherit a strong one and erode what made it work. History offers both outcomes in equal measure and that uncertainty is precisely the problem.

### The unquantifiable risk

This is the uncomfortable truth at the heart of active investing: manager risk exists and yet cannot be quantified. You can measure market volatility. You can model drawdown scenarios. But you cannot assign a probability to the event of your fund manager leaving, changing strategy, or simply losing their edge. And you certainly cannot model how damaging the next manager might turn out to be.

What you can do is monitor. Track managerial changes. Reassess the portfolio when leadership shifts. Evaluate whether the investment philosophy that attracted you in the first place still governs the fund. This is not impossible, but it is effortful and most investors, busy with their daily lives, simply can't do it consistently enough.

The active investing mandate in effect asks investors to do more than just pick a good fund once. It asks them to watch that fund indefinitely, alert to changes they may not always hear about in time.

### The problem that passive investing eliminates

Index funds and ETFs (exchange-traded funds) settle this problem cleanly. The investment process is rule-based. The portfolio mirrors a market index; it changes only when the index changes. The fund manager's job becomes operational, maintaining efficient tracking rather than deciding what to buy or sell based on personal judgment.

This removes the manager variable entirely. The fund that tracks the Nifty 50 today will follow the same rules five years from now, regardless of who signs off on the trades. No star managers to track. No strategy drift. No personnel announcements to watch for. Passive funds do not promise outperformance. Skilled active managers do beat the market, some for extended periods. But what passive investing offers in place of that possibility is something arguably more valuable for long-term investors: certainty of approach. You know what you own, why you own it, and that it will not change into something different.

Active funds can deliver. But their delivery depends on people. And people leave, change course, underperform, or simply stop being as good as they once were.

Passive investing removes that dependency. It replaces judgment with structure. And for investors who would rather own the market than bet on the person navigating it, that trade-off is not a consolation prize. That is the point. ☑

# The index that shone

When the market was grappling in turmoil, the PSU Index posted solid returns. We dive deep into the reasons behind the same.

The Indian stock market has had a forgettable year. The Sensex is barely above where it was 12 months ago. Mid and small caps have corrected sharply. And yet, the BSE PSU index has delivered strong double-digit returns over the same period. For investors conditioned to think of public sector companies as slow, bureaucratic and perpetually disappointing, this needs explaining. The short answer is that a small number of PSU businesses had already fixed themselves. The market just took a long time to notice.

## A banking system back from the dead

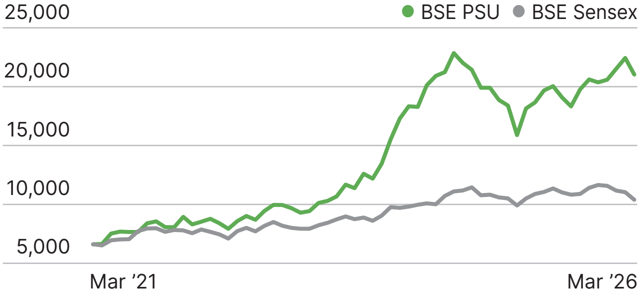
The dominant force behind the index's performance is PSU banks, and the story here is not a small one. For the better part of a decade, India's government-owned banks were in genuine crisis. They had lent recklessly to infrastructure projects in the 2000s, many of which collapsed. The bad loans piled up, were hidden, and then finally forced into the open. Banks stopped lending. Profits evaporated. The government spent hundreds of crores recapitalising institutions that seemed to have a limitless appetite for losses.

What followed was slow and unglamorous: loans were restructured or written off, managements were changed, the Insolvency and Bankruptcy Code gave banks real tools to recover money from defaulters, and one by one the balance sheets began to heal. For years, none of this showed up in stock prices because investors had been burned too many times. They waited for proof.

The proof came in the form of earnings and, most importantly, improved asset quality. PSU bank profits reached levels not seen in decades. The ratio of bad loans to total loans fell to its lowest in years. Return on equity, long an embarrassment compared to private banks, crossed into territory that demanded attention. And through all of this, valuations stayed low because the market had not yet decided to believe the recovery was real and lasting.

When the broader market started struggling, and investors began looking for something with actual earnings at a reasonable price, PSU banks were the most obvious answer in the room. The re-rating that followed was not driven by optimism. It was driven by a recognition that these banks had changed, and the price had not.

### Index movement





Adobe Stock

## Defence: From supplier to compounder

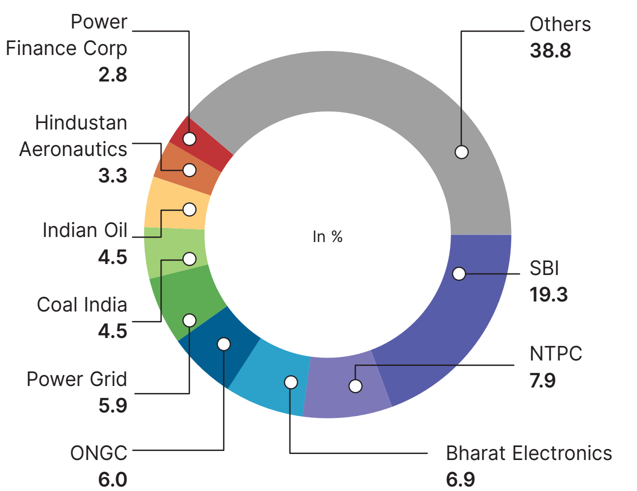
The defence names in the index tell a different story. Bharat Electronics and Hindustan Aeronautics have been beneficiaries of India's long-standing push to buy less from abroad and make more at home. This policy existed for years without much visible impact. What changed recently is that the order books at both companies became large enough and credible enough that investors could see earnings several years into the future. That kind of visibility is rare and valuable, particularly in an otherwise uncertain market. The re-rating here was less about recovery and more about the market finally taking the indigenisation story seriously.

## The real reason PSUs outperformed

This is not the entire picture for sure, since there are several other entities and sectors that have contributed to this growth, but this gives us an idea. But we must remember one thing: Markets do not reward the past. They reward the gap between what a business is and what the market thinks it is. For most of the last decade, PSU companies were priced as though nothing about them would ever improve. Some of them did improve substantially, but the discount in their valuations persisted out of habit and memory.

An important thing to remember here is that PSUs, especially banks, while having improved, still trail their private peers. These companies made a lot of sense at a heavily discounted valuation, but the same cannot be said after the surge over the past few years. Now starts the real test. ☑

### Index weights




| Company | Market cap (₹ cr) | P/E | P/B | Dividend yield (%) | 1Y return (%) |
|---|---|---|---|---|---|
| **Canara Bank** | 1,24,676 | 6.8 | 1.1 | 2.9 | 63.8 |
| **Bharat Electronics** | 3,23,458 | 54.2 | 14.0 | 0.5 | 55.2 |
| **SBI** | 9,87,215 | 11.9 | 1.8 | 1.5 | 45.1 |
| **Bank Of Baroda** | 1,46,427 | 7.5 | 0.9 | 3.0 | 35.2 |
| **Indian Oil** | 2,09,700 | 5.9 | 1.0 | 2.0 | 18.7 |
| **Coal India** | 2,80,373 | 9.4 | 2.5 | 5.8 | 16.9 |
| **BPCL** | 1,31,760 | 5.4 | 1.3 | 3.3 | 15.9 |
| **ONGC** | 3,33,189 | 8.8 | 0.9 | 4.6 | 14.1 |
| **NTPC** | 3,67,019 | 15.2 | 1.9 | 2.2 | 12.2 |
| **Hindustan Aero.** | 2,64,898 | 29.8 | 6.8 | 1.0 | 10.7 |

Data as of March 19, 2026. Top 10 companies by return that have a minimum free float of 2 per cent.

### Key numbers

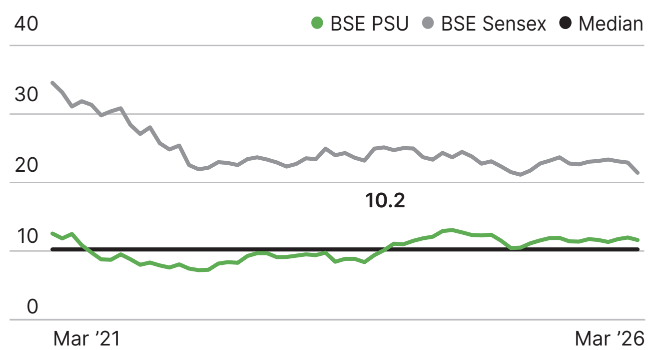
**12.2**
Price-to-earnings

**2.4**
Price-to-book

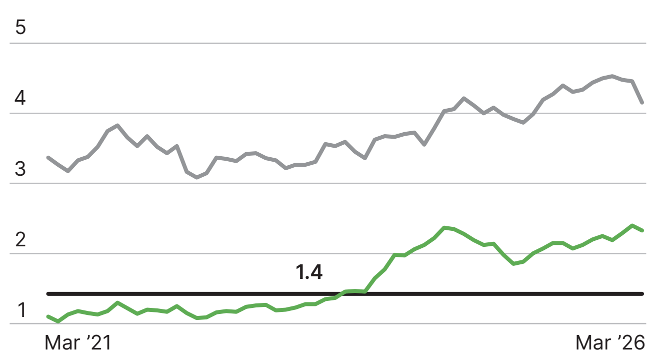
**2.2**
Dividend yield (%)

**64.7**
Market cap (₹ lakh cr)

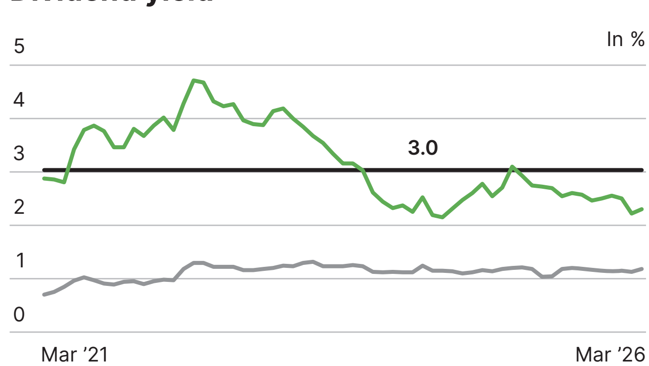
### Price-to-earnings ratio (P/E)




### Price-to-book ratio (P/B)




### Dividend yield



# Crises as sorting machines

Every crisis week divides your portfolio into two piles. The question is whether you know which pile you're in.

*By* **Dhirendra Kumar**

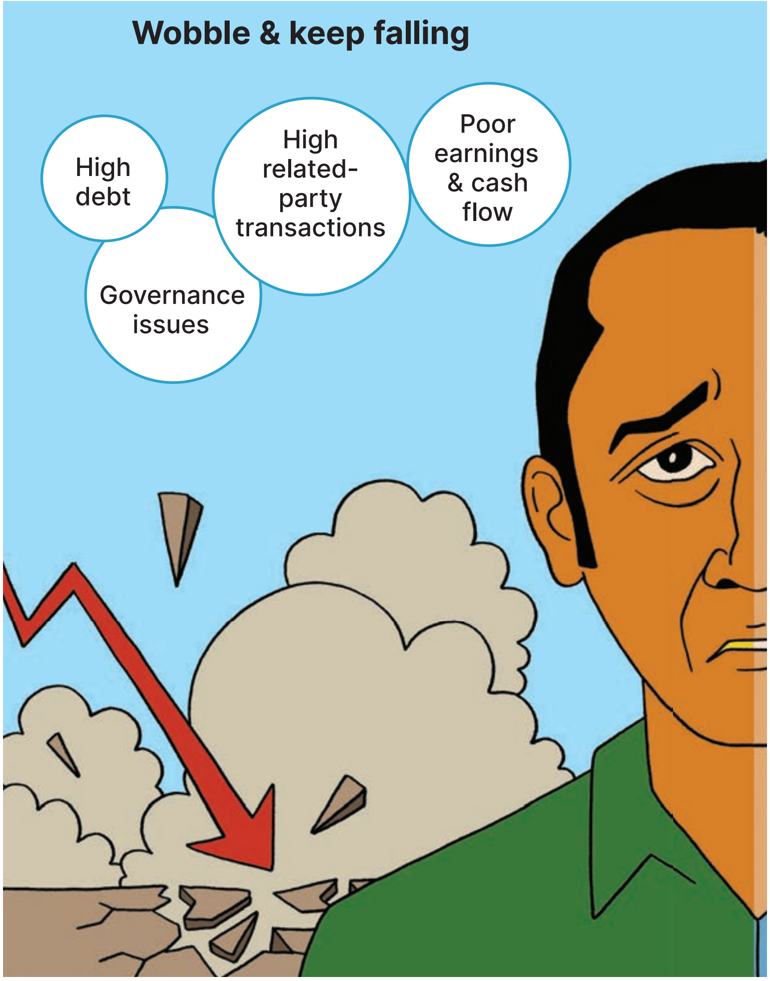
On Thursday (March 19, 2026), the Sensex fell 2,497 points. Oil crossed $119 a barrel. The India VIX spiked 22 per cent in a single session. I have been doing this for over three decades, and I can tell you, the phone calls and emails that arrive on days like this follow a pattern. The questions are never about the market. They are about specific stocks. "Should I sell this one?" "Is this company going to survive?" "I bought this two years ago, and I have no idea what it actually does."

That last one is the one that worries me.

Because here is what a crisis does, quietly, while everyone is watching the index: it sorts every portfolio in the country into two piles.

In the first pile are companies that wobble and recover. Their stock prices fall with the market, sometimes sharply, but the business underneath is fine. The balance sheet was clean before the fall. The management was trustworthy before the fall. The earnings were real, not a product of creative accounting or favourable one-offs. When fear subsides, these companies get bought back. The loss becomes a memory.

In the second pile are companies that wobble and keep falling. Their stories sounded compelling enough when the markets were calm. A hot sector. An exciting narrative. A promoter who gave confident interviews on television. But these companies were carrying risks that the bull market managed to hide. Excessive debt that looked manageable when sentiment was high. Related-party transactions that nobody bothered to scrutinise. Governance problems that only become visible when the environment turns harsh. For these companies, the crisis is not a dip. It is a reckoning.




The investor I feel most concerned about this week is not the one whose portfolio has fallen the furthest. It is the one who genuinely does not know which pile he is in. He bought some stocks on a colleague's tip. A few others he researched himself, partly. Some he inherited from an earlier phase of his investing life, when his standards were different. He looks at his holdings and feels uneasy. Not because he knows there is a problem. Because he cannot tell whether there is one.

That uncertainty is worse than a known loss. A known loss has a number. You can look at it and decide what to do. An unknown risk just sits there, feeding anxiety every time you open your portfolio app.

> **The worst part of being an investor is not being in the bad pile, but rather not knowing which pile you are in. The lack of clarity results in the inability to decide, a crucial aspect of portfolio construction and long-term wealth creation.**

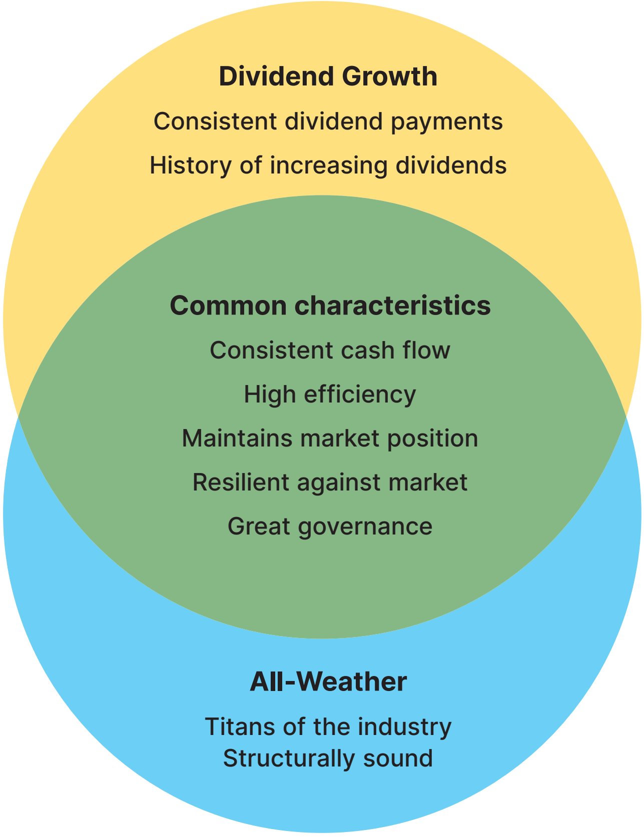

Illustration: ANAND

I have believed for a long time now that the most important work in stock investing happens before you buy anything. The question of which companies to own is inseparable from the question of which companies to reject. And if I had to choose between the two skills, I would choose the second one. The ability to identify businesses to avoid, the overleveraged, the governance-compromised, the ones where the promoter's interests and the minority shareholder's interests quietly diverge. That protects you in ways that even excellent stock-picking cannot. One catastrophic holding can undo years of patient gains.

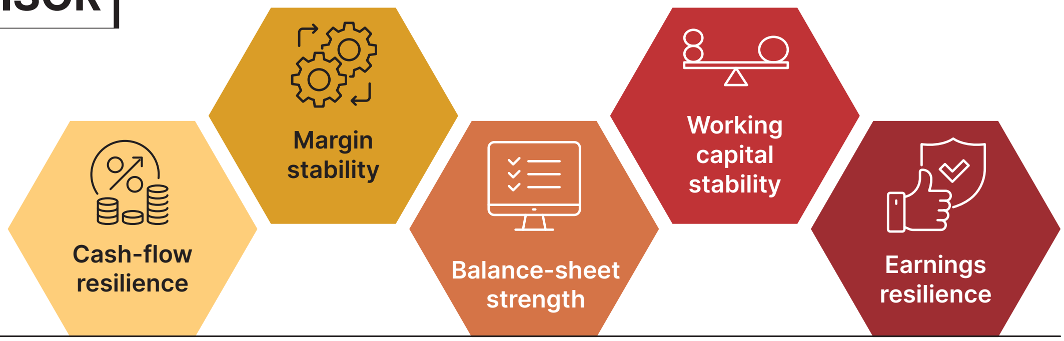
Let me tell you what this looked like in real time, this week. Companies with clean balance sheets and genuine cash generation fell with the market. Of course they did. But their economics did not change. A well-run consumer company or a conservatively financed private bank is worth roughly what it was worth three weeks ago. The price moved. The value did not. Meanwhile, companies that had been running on borrowed confidence, leveraged plays with stretched balance sheets, story stocks where the narrative was doing all the work because the earnings certainly weren't: those fell harder, and some of them will not recover to their previous levels.

The sorting happened in real time. If you knew what you owned, you could watch it and stay calm. If you didn't, you couldn't.

At **Value Research Stock Advisor**, our research process begins with elimination. Out of roughly 4,500 listed companies in India, our filter rejects the



**Qualities of the new All-Weather Portfolio**




overwhelming majority before any portfolio consideration begins. The filter is designed to catch exactly the risks that weeks like this one expose: governance problems that accounting numbers cannot fully capture, debt levels that become dangerous when credit tightens and business models that depend on narrative rather than cash flow. Most stocks do not survive this process. That is the point.

I also want to tell you about a structural change we have made, because the timing makes it relevant. Over the past two years, our analysts have noticed that whenever they build the 'Dividend Growth Portfolio', the shortlist overlaps heavily with the 'All-Weather Portfolio'. Same reasoning. Businesses that grow their dividends year after year do so because they generate real cash, keep their debt manageable and maintain the kind of financial discipline that holds up when conditions get difficult, something we have discussed in the previous edition of **Wealth Insight** in our cover story. Those are also exactly the qualities that define an all-weather business.

We should have acted on this overlap sooner. We didn't, partly because subscribers had signed up for a specific portfolio and we were reluctant to change something they relied on. But maintaining two portfolios to say one thing is not a service to anyone. So we have now retired Dividend Growth as a standalone portfolio and rebuilt All-Weather with a proper construction framework.

The new All-weather portfolio applies what we call a fundamental resilience score across five dimensions, as you can see in the graphic 'Qualities of the new All-Weather Portfolio'.

A business that scores well on all five is the kind of business that absorbs a 30 per cent market fall without cutting its dividend, without scrambling for emergency capital and without posting a surprise loss that catches everyone off guard. Dividend growth remains a relevant signal within this framework. But the portfolio is no longer limited to dividend growers. A business can earn its place through durable margins or stable earnings, even if its dividend history is shorter.

**Value Research Stock Advisor** now has three portfolios, each doing one job. Three portfolios. No overlap. Each one is doing its job.

**Long-term Growth** selects reasonably valued growth companies for investors with over a seven year horizon and patience to let compounding play.

**Aggressive Growth** holds higher-potential companies where improving quality drives returns. For investors with a stomach to bear drawdowns.

**All-Weather** is for investors who need their portfolio to hold up when things go wrong. Which is to say, for exactly the kind of week we just had.

The monthly reviews our research team conducts are not just about finding new opportunities. They are equally about watching for early signs that a holding is drifting toward the second pile. When working capital starts deteriorating in ways that quarterly headlines do not capture, or when a management change raises questions about governance, we act. You hear from us before the market delivers its own, harsher verdict.

Here is what I keep coming back to. Crisis weeks remind you that the decisions that matter most in investing are seldom made during the crisis. They are made before it, in the patient, unglamorous work of understanding what you own and, just as importantly, what you have chosen not to own.

If you hold our portfolios and feel relatively settled this week, that is not luck. It is a process. If you are looking at your holdings right now with that familiar knot of anxiety and uncertainty, this may be a good time to consider doing it differently. Stock Advisor gives you three researched portfolios, monthly reviews, and clear exit calls. At ₹9,990 a year, you are not paying for stock tips. You are paying to know which pile you are in. That is worth something. Especially on weeks like this one. ☑

# Decoding the dragon's 15th Five-Year Plan

What China's latest Five-Year Plan means for Indian investors and the challenges that lay ahead

*By* **Anand Tandon**

In March 2026, during Beijing's annual 'Two Sessions', Premier Li Qiang announced one of the most consequential growth targets in recent Chinese history: about 4.5-5 per cent for 2026, the lowest official ambition in decades. Alongside this, the leadership unveiled the broad contours of the 15th Five-Year Plan (2026-2030), a roadmap to navigate what Xi Jinping has termed "great changes unseen in a century".

For Indian equity investors, this blend of moderated headline growth and an aggressive push in technology, industry and geopolitics is far more than a distant policy shift. It is a blueprint that reshapes global capital flows, supply chains and Asia's competitive landscape for years to come.

### The great recalibration: From *Jihua* to *Guihua*

China's Five-Year Plans (FYP) have evolved dramatically. The early ones, modelled on Soviet central planning in the 1950s, were rigid commands that drove rapid industrialisation but also led to disasters like the Great Leap Forward.

Since the reform era, they have shifted toward high-level 'roadmaps' or party-state guidance that sets priorities and signals while leaving room for markets and local experimentation. The 2006 terminology change from *jihua* (plan) to *guihua* (guideline) symbolised this transition.

### Key plans where China has achieved major milestones

The 15th Plan represents the latest evolution: a high-stakes wager that technology-intensive state capitalism can counterbalance a shrinking population and mounting debt.

### China's current headwinds

China enters the 15th FYP amid unprecedented challenges, both structural and external.

**Demographic decline and ageing:** The population has

## Five-Year Plans where China exceeded expectations

| | | | |
|---|---|---|---|
| 10th FYP | 2001-05 | Emphasis on nearly 7% growth; WTO entry adjustment | GDP grew around 8.3% (WTO-era expansion); heavy industry laid infrastructure for exports |
| 11th FYP | 2006-10 | 7.5% growth; quality upgrade | Avg. growth around 10%; surpassed UK, France, Germany and Japan to become the second-largest economy. Broadened social services. |
| 13th FYP | 2016-20 | Around 6.5% growth; eliminate extreme poverty | 100 million rural poor lifted out of poverty by 2020; major BRI projects |
| 14th FYP | 2021-25 | 5.5% growth; innovation and green development | GDP of nearly RMB 140 trillion by 2025; avg. growth of approximately 5.5%. Renewables exceed coal; NEVs reached 44 million (12% of vehicles). |

Illustration: ANAND

shrunk for four consecutive years. In 2025, it fell by 3.39 million to 1.41 billion. Those over 60 already comprise nearly 23 per cent of the population and are projected to reach around 400 million (roughly the combined populations of the US and Italy) by 2035. This implies a contracting workforce, soaring dependency ratios and heavy pension or growing healthcare burdens.

**Mounting debt and financial risks:** China's total debt (government, household, corporate) ranks among the world's highest. After years of stimulus, debt-to-GDP has risen sharply, particularly among local governments and property developers. The IMF has flagged unsustainable non-financial sector debt growth, with local government financing vehicles concealing substantial hidden liabilities (estimates in the tens of trillions RMB).

**Weakening real estate:** The sector, accounting for an estimated 25-30 per cent of GDP, remains in crisis. With two-thirds of household wealth in housing, falling prices have crushed confidence. Home sales, construction investment and land-sale revenues (a key local funding source) plunged in 2024-25 amid high-profile bankruptcies such as Evergrande. Absent a consumption rebound, China risks a 'middling' growth trajectory.

**Shift from export-led to 'dual circulation':** Geopolitical tensions and 'China+1' diversification by major economies limit reliance on exports. While trade remains robust, the 15th Plan emphasises domestic consumption and a unified national market. Yet private consumption remains nearly 38 per cent of GDP (versus 57 per cent in advanced economies). Boosting it requires reforms to social safety nets, taxes and property rights – progress remains gradual.

**Technological decoupling:** US and allied restrictions on semiconductors and AI chips have intensified. China is responding with a full-throated pursuit of self-sufficiency, prioritising 'scientific and technological self-reliance' tied to defence. Massive state resources will flow into semiconductors, AI, biotech, quantum, new materials and civil-military fusion, but at high cost, with risks of overcapacity (as seen in solar and batteries) and 'involution' (cut-throat competition eroding returns).

**Environmental and energy transition:** The 14th FYP drove renewables past coal in annual capacity additions. The 15th continues this with a dedicated green chapter, targeting steady progress toward 2030 NDC commitments, including a cumulative 17 per cent reduction in $CO_2$ intensity (per unit of GDP) for 2026-30. Success depends on decoupling emissions from growth without crimping energy supply.

In short, China urgently needs new growth engines: stronger consumption, accelerated innovation and reform of state-dominated inefficiencies. The 15th

Plan's fate hinges on tackling these faster than in prior cycles.

## The core of the 15th Plan: New quality productive forces

The plan revolves around Xi Jinping's signature phrase, 'new quality productive forces', shifting from inventing technologies to deploying them at a massive industrial scale. It features 20 headline indicators and 109 flagship projects across advanced manufacturing, AI (artificial intelligence), quantum, clean energy and social services.

Key quantitative targets include:

**GDP growth: 4.5–5 per cent in 2026;** an 'appropriate range' thereafter (implying around 4.5 per cent average to double 2020 per-capita GDP by 2035).

**R&D investment:** Equal to or more than 7 per cent annual growth from a 2025 base of 3.92 trillion yuan (2.8 per cent of GDP).

**Digital economy core industries:** Rise to 12.5 per cent of the GDP by 2030 (from 10.5 per cent in 2024).

**Carbon intensity:** Cumulative 17 per cent reduction in $CO_2$ per unit of GDP; life expectancy to 80 years.

The sci-tech focus emphasises diffusion over pure discovery: AI references outnumber integrated circuits by approximately 13:1. Beijing aims to embed AI across manufacturing, logistics and services via the 'AI Plus Initiative', leveraging industrial scale and data abundance to drive productivity gains and 'get rich even as we get old'.

## Will it work?

The plan's strongest suit, diffusing AI across industry, aligns with China's advantages: embedding mid-level automation in vast factories is more feasible than perpetually leading frontier AI research. The state's mobilisation capacity remains unmatched for prioritised projects.

The glaring vulnerability is consumption. Private spending remains low historically relative to advanced economies. Xi Jinping's aversion to direct household transfers (viewed as 'welfarism that breeds laziness') means reliance on supply-side subsidies rather than redistribution. Without lifting disposable incomes and strengthening safety nets, domestic demand may struggle to absorb industrial output. The IMF (International Monetary Fund) urges allowing weak developers to fail, shifting taxes toward higher incomes or consumption and resolving local finances – Beijing's uptake of such advice will determine if the plan transforms or merely muddles through.

The base case: partial success, with mid-4 per cent average growth, solid AI or green progress, sustained manufacturing edge, but ongoing deflation, debt rollovers and property scars.

> China's 15th Five-Year Plan directly impacts India's competitive landscape. Though India's large market positions it well across certain fields, risks such as logistics and land hurdles and over-reliance on imports remain.

## Implications for Indian equity investors

The 15th Plan directly influences India's competitive environment, FDI (foreign direct investment) inflows and equity macro backdrop.

The 'China+1' shift is real, but so far it has favoured Vietnam, Thailand and Indonesia. India's large market and PLI schemes position it well in electronics, pharma and medical devices, provided if logistics and land hurdles improve.

Technologically, China's AI push raises the bar for Indian manufacturers but offers cheaper imports (robots, batteries, tools) to enhance productivity, provided India guards against over-reliance.

Financially, Beijing's parallel systems (RMB settlement, digital rails, potential BRI stablecoins) challenge rupee internationalisation ambitions in the region.

## Positioning for the scenarios

In a partial-success world (most likely), China stays formidable yet fragile: Indian IT or digital services gain from diversification; defence, infrastructure and specialty chemicals benefit from US-India alignment; export competitors face margin pressure.

If China underperforms (due to property or debt crises), global demand softens, but alternative hubs accelerate, favouring India's domestic stories (banks, staples, healthcare, logistics) amid export volatility.

Across both, India cannot afford to be a passive bystander. The smart portfolio approach is to be bullish on the structurally insulated (EMS, contract pharma, defence electronics, digital infrastructure), selective on the directly exposed (commodities, mass-market chemicals, basic consumer durables) and alert to the policy-protected (sectors where anti-dumping duties and quality control orders create temporary but investable moats). ☑

# The value screener trap

Why a falling price and genuine value are entirely different things

By
Ashish
Menon

When markets stall, investors reach for screeners. One of the most popular ones is this: stocks trading below their five-year median price-to-earnings or P/E. It sounds sensible. It promises to narrow down value and delivers hundreds of seemingly cheap names. But most won't actually be cheap. Not because the filter is wrong, but because the yardstick is. A five-year median, shaped by an inflated cycle, is misleading.

## The ruler is too short

Here is the problem with using a five-year P/E median as a measure of fair value: the five years in question are 2021 to 2025, a period that included a post-pandemic liquidity surge and a mid- and small-cap rally that senior fund managers publicly described, at the time, as absurd. Using that era's average as a basis of value is not conservative. It builds distortion into the analysis.

The numbers make this concrete. In a universe of 1,114 companies all with a 10-year history and a market cap above ₹500 crore, two-thirds had a five-year median valuation higher than their 10-year median by an average of 20 per cent. In other words, the five-year benchmark is inflated.

About 691 companies, 62 per cent of the above universe, trade below their five-year median. This falls to 589 or 53 per cent when you check for those that sit below the 10-year median. Around 100 companies that appeared attractive on a shorter yardstick simply disappear when the value benchmark is corrected to a longer scale.

## Adding a quality lens

This was only the first filter. If you add a simple quality parameter, stable or improving return on capital, the universe gets halved from 53 per cent to 25 per cent (see table 'The real value funnel'). This tells you that half the companies that seem cheap given their valuation today is below the 10-year median are running deteriorating return profiles.

This is the part that screeners miss. A company earning 18 per cent on capital four years ago and earning 13 per cent today has not simply become cheaper. It has become a different business. The P/E compression is often the market correctly recognising this, not the market mispricing an opportunity.

Raise the quality bar further. Demand consistently strong returns: current, three-year average and five-year average ROCE and ROE to be above 15 per cent for non-financials and 12 per cent for financials and the universe falls again from 25 per cent to 12 per cent. Simply put, companies that are low on valuation and have consistently earned well on capital are simply a minority in this market.

## The real value funnel

Basic hygiene checks shrink the universe to just 52 companies

| Our filters | Non-financial companies | Financial companies | % of the universe |
|---|---|---|---|
| Universe | 999 | 115 | 100 |
| Valuation below 5-year median | 635 | 56 | 62 |
| Valuation below 10-year median | 536 | 53 | 53 |
| + Stable/ improving ROCE/ROE | 247 | 26 | 25 |
| + ROCE> 15 per cent/ ROE> 12 per cent | 119 | 15 | 12 |
| + Four quarters of Y-o-Y PAT growth | 47 | 5 | 5 |

P/E used for non-financial companies, P/B for financial companies. ROCE threshold 15 per cent, ROE threshold 12 per cent. Universe restricted to companies with a market cap above ₹500 crore and a 10-year listed history.

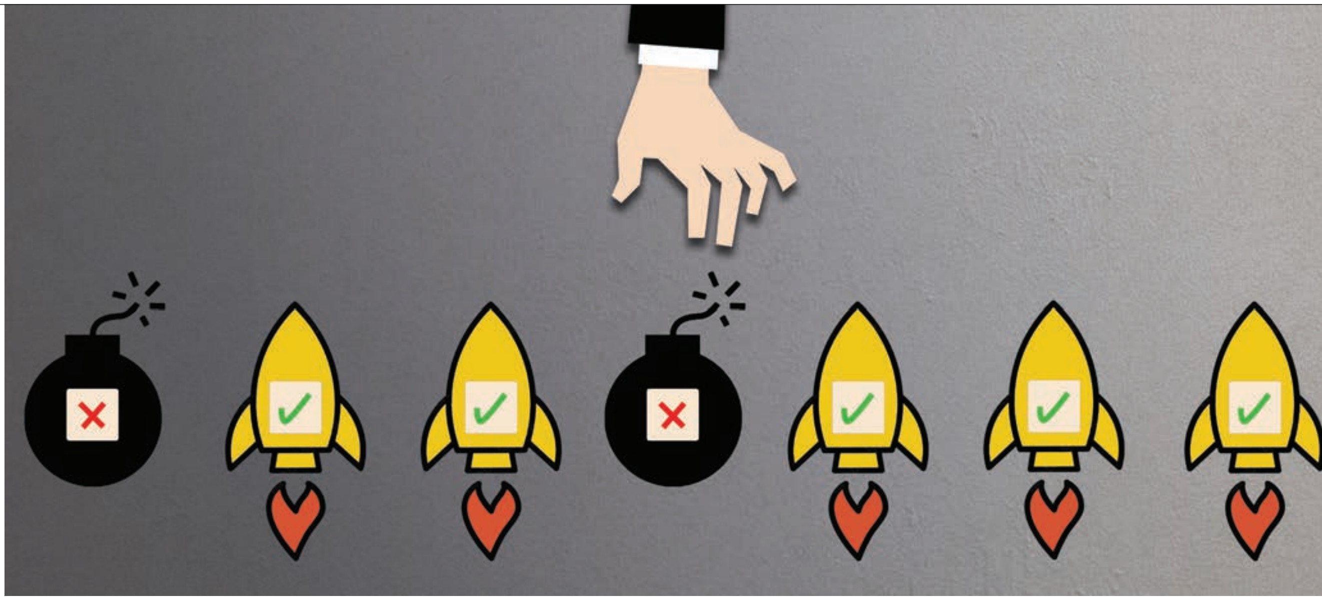


Illustration: ANAND

## The next filter: Earnings growth

Finally, ask a simple forward-looking question: Are profits actually growing? Insist on four consecutive quarters of year-on-year profit growth and the list shrinks to just 52 companies, about 5 per cent of the starting universe. From over a thousand stocks to barely 50.

To summarise, only a small fraction of businesses trading below 10-year averages actually pass our filters of both quality and profitability. An overwhelming majority are those that are sitting below long-term averages for the right reasons.

A low multiple, therefore, does not automatically mean value. Often, it is merely a signal of a weaker business. Screeners struggle with this distinction. They capture static snapshots, price and multiples, but miss the direction in which the business is going.

## What the shortlist reveals

The final 52 that pass all filters are spread across select sectors. The highest number, 10, comes from Materials. Consumer discretionary and industrials contribute nine each, technology eight and healthcare six. Consumer staples, despite its reputation as a defensive value haven, has just three. Real estate and Energy together account for two. Staples, in particular, still trade around or above long-term averages even after the correction.

What stands out is not where value is but why it appears there. The list is dominated by cyclical, capital-intensive sectors, businesses lifted by a favourable cycle and now showing early signs of earnings recovery. It is this recovery, not necessarily structural improvement, that gets them through the filters. This shortlist shows why this is not a market for sweeping re-entry calls, but one for patient, selective work.

> A low multiple doesn't automatically mean value. Often, it is an indicator of a weaker business. Screeners don't capture this distinction, focusing mainly on snapshots, price and multiples, rather than direction.

## What separates a falling price from a real bargain

Let us revisit the five-year median filter. By using it, an investor is not finding value. They are simply finding prices that have fallen. The two overlap briefly, then diverge. Prices recover with sentiment. Value compounds only with business strength. The ongoing correction hence, demands precision, not blind courage. Before calling any stock cheap, ask these three things:

- Is the valuation multiple below the 10-year median and not just the five-year one inflated by the bull run?
- Has the business delivered consistent returns on capital across cycles?
- Is the profit trend pointing in the right direction?

If the answer to all three is yes, the de-rating has likely moved a genuinely good business from expensive to relatively attractive. That is a real opportunity. If only one answer is yes, you have found a falling price with a story attached to it. And in this market, there are plenty of those. ☑

*Ashish Menon is a Chartered Accountant (CA), a CFA charterholder and Senior Equity Analyst at Value Research Stock Advisor*

# The *dabbawala* principle

Why the best investment strategy in a down market is the one that you do not change

By
Ranjit Bhatia

Every morning, roughly 5,000 *dabbawalas* in Mumbai pick up two lakh home-cooked meals from kitchens across the city and deliver them to office workers and homes, almost never missing a delivery. Rain or shine, trains delayed or on time, city flooded or in the heat of summer, the tiffin arrives, always. Their secret is not some sophisticated logistics algorithm. It is an unshakeable commitment to a system that works, executed with discipline regardless of the day's conditions.

Indian equity investors could use a dose of that same philosophy right about now.

As of March 13, 2026, the Sensex is down over 10 per cent year-to-date. The Nifty IT Index has entered bear territory, falling more than 23 per cent over the same period. Foreign institutional investors have pulled out billions (1) in weeks. Oil prices, driven by US-Israel-Iran tensions, are near highs not seen since Russia invaded Ukraine in 2022. Inflation ticked up to 3.2 per cent in February (2). Every financial headline seems designed to spike your cortisol. And yet, this is precisely the moment that separates investors who build lasting wealth from those who don't.

## Your portfolio is not on fire. It feels like it is.

There is a well-documented quirk in how the human brain processes losses. Behavioural economists Daniel Kahneman and Amos Tversky called it loss aversion: the pain of losing a rupee feels roughly twice as intense as the pleasure of gaining one. When your portfolio statement shows red, your brain treats it like a threat.

But here's the thing about corrections, they aren't anomalies. They are the admission prices for long-term equity returns. Looking at Sensex data from 1980 through 2025, declines of 10 per cent or more have been common. Yet out of those 45 years, 36 ended positive. The average intra-year drawdown has been around 20 per cent, while the average annual return has been approximately 17 per cent (3). Read those numbers together: corrections are not the opposite of growth. They are the cost of it.

## This is a test match, not a T20

Every Indian cricket fan knows the difference. In a T20 match, one bad over can decide the game. Momentum swings are violent and final. It rewards aggression and punishes hesitation. A test match unfolds over five days. Batsmen who chase every ball get out. The ones who build innings, leave deliveries outside off stump, absorb pressure and wait for bad balls are the ones who score centuries. Rahul Dravid did not score over 13,000 test runs by playing every delivery like a six was needed. He did it by respecting line and length and choosing when to score.

Your portfolio is a test match. The 10 per cent correction you are staring at now is a difficult spell of fast bowling. The pitch is doing a bit, the ball is swinging and the pressure is real. But the match is far from over. Walking off mid-innings because conditions are tough is not what good batsmen do. They dig in, go back to fundamentals and wait.

Investors who panic-sell during corrections are playing a T20 game with a test match portfolio.

## The real danger isn't falling markets. It's your reaction to them.

Let us run a thought experiment. Imagine two investors, Priya and Rahul, who both started a monthly SIP of ₹25,000 in a Nifty 50 index fund five years ago. When the market dropped 10 per cent last quarter, Rahul panicked and paused his SIP. Priya kept investing. She did not enjoy

> Sensex data from 1980-2025 shows declines of 10 per cent or more were common. Yet, 36 of 45 years ended positive, proving corrections aren't the opposite of growth but the cost of it.

Illustration: ANAND

watching her statement shrink, but she stayed the course.

By pausing during a downturn, Rahul did the opposite of what his SIP was meant to do. It buys more when prices are low and less when high. Stop during a dip, and discipline turns emotional. The data is unforgiving. Studies of Indian mutual fund flows show that investors pour money in after rallies and pull back after corrections, buying high and sitting out the lows. This behaviour gap cost an average investor 5.3 per cent annually from 2003-2022 (4).

## What the market is telling you right now

Let us separate signals from noise. Oil prices are elevated, pressuring India's current account, margins and household budgets. Foreign investors have also been net sellers, pulling out thousands of crores.

Monthly SIP inflows remain above ₹29,000 crore, close to the all-time record of ₹31,000 crore set in January 2026 (5). Indian retail investors, on aggregate, have not blinked. This is a structural shift from even five years ago. Domestic institutional investors continue to provide a counterweight to foreign selling. India's GDP growth is still projected at 7.5 per cent for 2026 (6). Inflation at 3.2 per cent (7) is within RBI's comfort zone. The fundamentals that made India attractive at the start of the year have not evaporated.

## The precedent you are living through

Consider March 2020. The Nifty fell 40 per cent in weeks as pandemic shut down global economy. Investors who sold locked in losses. Those who stayed invested, or continued SIPs, saw the index recover to new highs within 10 months.

Or 2008. The Sensex fell over 60 per cent, took years to recover, but rewarded those who stayed invested. Markets fall, recover and reward patience. They may fall further, but that's why a systematic approach matters. You don't need to time the bottom, just stay invested.

## The wealth that patience builds

If you had started a modest SIP in the Nifty 50 two decades ago, your wealth would still be a multiple of your investment. That is the power of disciplined investing. These investors didn't time the market. They gave it time.

## Bat through the session. The tiffin will arrive.

Mumbai's *dabbawalas* have a Six Sigma-level accuracy, achieved through consistency. They show up, follow the system and don't second-guess it when it rains.

Dravid didn't check the scoreboard after every ball. He trusted his technique and stayed at the crease.

Your investment plan deserves the same respect. It was built for difficult stretches, not just easy markets. The market isn't asking you to be brave, but patient. Keep SIPs running, review your allocation, deploy surplus cash gradually and tune out the noise.

**Bat through the session. The tiffin will arrive.**

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*Ranjit Bhatia is Head - Alternate Product Strategy at WhiteOak Capital Asset Management Ltd*

# A metal that lost its script

A crisis should have been gold's finest hour. Yet, reality seems different.

By
Advait
Arora

For 5,000 years, gold has had one reliable job: when the world catches fire, people reach for it. The metal does not pay interest, generate earnings or do anything particularly useful. But in a crisis, it holds its value when everything else does not. That, at least, is the story.

Someone forgot to tell the market. The Gulf has been in open conflict since late February. The Strait of Hormuz, through which roughly 20 per cent of the world's seaborne oil travels every day, has effectively shut. More than 150 tankers sit anchored outside. Gulf production has fallen by at least 10 million barrels per day. Brent crude has crossed $110 a barrel. Strikes have hit Qatar's LNG facilities, sending European gas prices up 50 per cent. Saudi refineries have been droned. Every variable that has historically pushed gold higher is present. And yet, gold has fallen more than 10 per cent from its January 2026 peak of $5,597 per ounce, and today sits under $4,900. That is not noise. It deserves a serious explanation.

## When the rules changed

When the United States and Europe froze $300 billion of Russian foreign exchange reserves following the invasion of Ukraine, every finance ministry and sovereign wealth fund in the developing world absorbed the same lesson: assets held in Western financial systems carry a geopolitical risk that no treaty can fully protect against. The response was not loud or dramatic. It showed up quietly in the data.

Central banks purchased 3,220 tonnes of gold between 2022 and 2024, more than double the 1,575 tonnes bought in the preceding comparable period. Full-year 2025 buying reached 863 tonnes. A World Gold Council survey found that 43 per cent of central banks plan to increase holdings further, up from 29 per cent in 2024, with not one anticipating a reduction. Global official gold holdings now stand at nearly 36,200 tonnes, close to 20 per cent of total reserves worldwide.

What this buying represented was a structural shift in what gold actually is. It was no longer simply a fear trade, something investors reached for when panic set in. It had become a surplus-recycling flow. The Gulf states, flush with oil revenues, China running large manufacturing surpluses, South Korea and Japan maintaining persistent trade balances, all were quietly redirecting excess savings into gold as a neutral reserve outside the dollar system. When export revenues were strong, gold got the bid.

Gold had become, in effect, pro-cyclical to the earnings of the world's largest trading nations. That single insight explains everything happening right now.

## The sellers are the same as the buyers

Here is the brutal irony at the heart of this moment. The Gulf states: Saudi Arabia, the UAE, Qatar and Kuwait, were among the most aggressive gold buyers over the past two years. They were converting oil revenues into gold precisely as a hedge against dollar dependence. Now those same nations have watched their export revenues collapse overnight. Governments still have wages to pay. Social spending does not pause for emergencies. When a sovereign entity faces a sudden revenue shortfall, it reaches first for its most liquid asset. Gold trades around the clock, across every major market in the world.

The very nations that were structurally supporting the gold market have become its temporary forced

> Despite the ongoing Gulf conflict, fall in oil production and Brent crude trading at more than $110 per barrel, gold has fallen by over 10 per cent from its January peak of $5,597 per ounce to under $4,900 per ounce today.

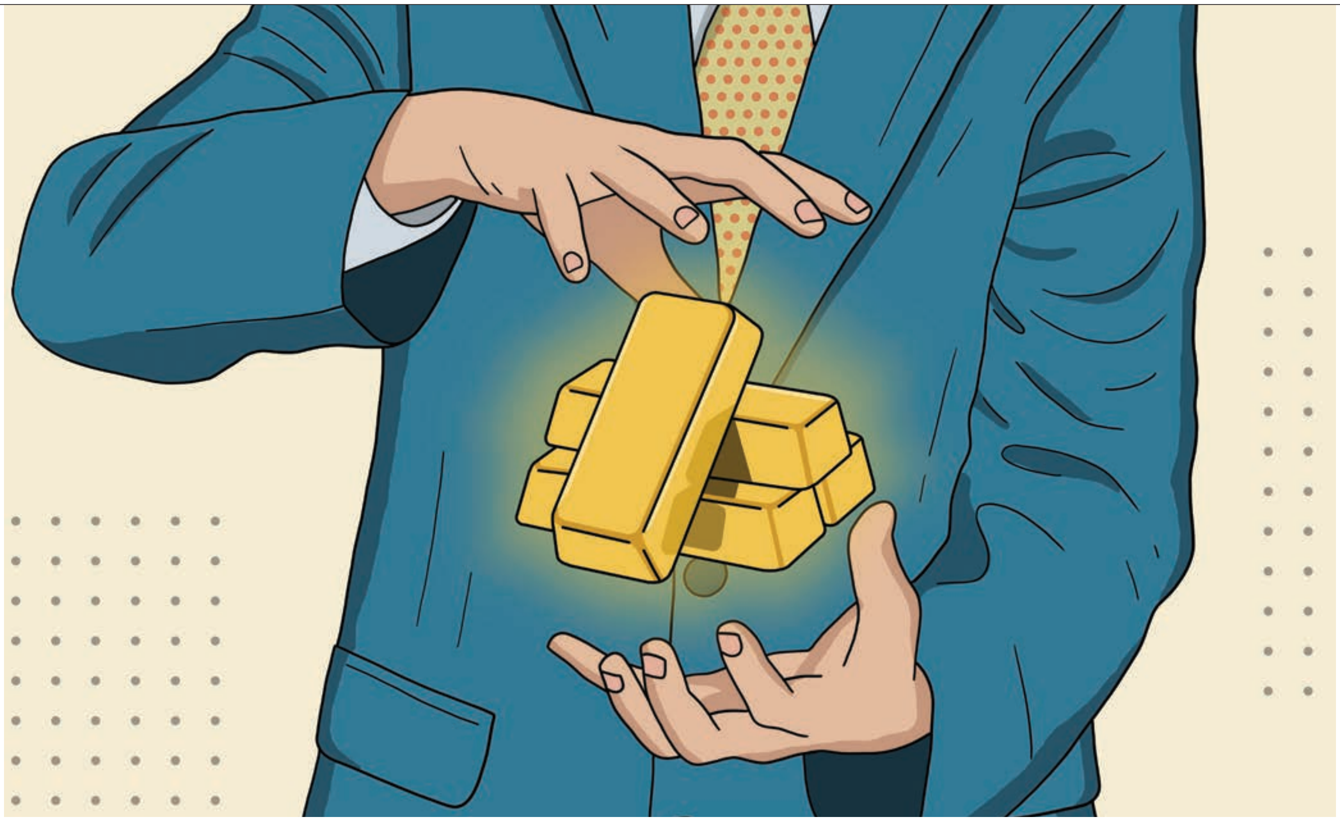


Illustration: ANAND

sellers, not because the logic of holding gold changed, but because a revenue crisis left them no choice.

The chain reaction has spread outward. China draws roughly a third of its oil imports through the Strait of Hormuz. An energy shock of this scale compresses Chinese growth, shrinks Chinese surpluses and directly slows Chinese reserve accumulation into gold. South Korea, Japan and Taiwan face identical pressure. The entire surplus-to-gold pipeline that drove prices from below $2,000 per ounce in early 2024 to $5,597 by January 2026 has stalled at once. A more hawkish Federal Reserve response to energy-driven inflation and the stronger dollar that follows adds further friction for every buyer working in emerging-market currencies.

## The structure is intact

None of this has altered the underlying case for gold. The same World Gold Council survey found that 95 per cent of central banks, the highest proportion in the survey's eight-year history, expect global gold reserves to grow over the next 12 months. Central banks are projected to absorb around 800 tonnes through 2026, roughly 26 per cent of annual mine production. J.P. Morgan targets $5,055 per ounce by the fourth quarter of 2026. ANZ has raised its second-quarter 2026 forecast to $5,800 per ounce. Neither has revised these figures downward despite the current weakness.

The Gulf states facing collapsing revenues today will, once this conflict resolves, return to exactly the problem they had before it began: enormous reserves parked in dollar assets they no longer fully trust, with gold remaining the only credible neutral alternative at the scale sovereign funds actually require. That demand has been paused. It has not been cancelled. And it will return to a supply environment that has not changed.

Gold is not behaving strangely. It is behaving exactly as the new version of gold should: one where its price is tied less to fear and more to the financial health of the nations that have made it their reserve of choice. Right now, those nations are under stress. When they recover, so will the bid. The script has not changed. Only the scene has.

> Gold is behaving exactly as it should: one where its price is tied less to fear and more to the financial health of the nations that have made it their reserve of choice. Right now, those nations are under stress.

*Advait Arora, known famously as 'Wealth Enrich', is an independent investor with over two decades of experience. He also holds a Master's in IT management and an MBA. The views expressed herein are personal and for informational and educational purposes only.*

# High-quality small caps

## Using Stock Ratings to find promising small caps high on quality

Tired of spending hours sifting through the vast listed universe? You need a reliable stock screener. It can help you get a list of promising stocks that deserve your attention with just a click of a button. Once you have a manageable list, you only need to research them further to find the ones worth investing in.

**Value Research** offers several carefully curated stock filters that can pick the most attractive companies from the listed Indian universe. In this issue, we cover the 'High-quality small caps' screen in detail. We have also given a concise list from the other screens. To view all the companies, visit: **www.valueresearchonline.com/stocks-screener/**

### Good quality small-cap companies

A stock investor's greatest joy is discovering a budding small-cap company and watching it grow into a formidable large cap. However, it is easier said than done. The small-cap arena is like the Roman-era Colosseum – many fight, but only a few survive to tell their tale.

This is where **Value Research Stock Ratings** can be your guide. Our **Stock Ratings** combine multiple metrics spanning quality, growth and valuation factors. For this particular screen, we have chosen small caps that are high in quality and fare moderately on growth and valuation. So, with just three filters, we have created a good starting point for your research.

But don't forget, small-cap investing is not for the faint of heart. It requires considerable groundwork and an appetite for volatility. So, pick companies that you understand and research them in detail. Also, be prepared for the unexpected. You will need perseverance to deal with the frequent drawdowns in your portfolio.

### A word of caution

These are not stock recommendations. Please do your due diligence before investing. If you are interested in a list of stocks to invest in, subscribe to **Value Research Stock Advisor.**

## Key terms

**M-cap**
Stands for 'market capitalisation'. Obtained by multiplying the stock price by the total number of shares. Shows a company's market value or size.

**Price to earnings (P/E)**
The ratio of the stock price and earnings per share (EPS). It shows in multiples how much investors are willing to pay for a share in a company's earnings. Note that a high-growth stock often will have a high P/E ratio, while a value stock will have a relatively lower P/E ratio.

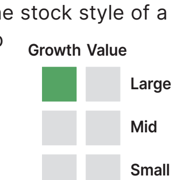
**Stock Rating**
Value Research Stock Rating combines the four scores (quality, growth, valuation and momentum) based on assigned weights to arrive at a holistic Stock Rating. We have created a five-star rating system. The higher the Stock Rating, the better.

**Quality Score**
It assesses the quality of a company quantitatively, capturing two crucial aspects, i.e., business efficiency and balance sheet quality. It considers various metrics, such as return on equity, return on capital employed, debt-to-equity ratio, etc. The score is based on the relative ranking of all parameters after assigning certain weights to each. Both current values and historical values drive the ratings. The score is out of 10. The higher the score, the higher the quality.

**Valuation Score**
It gauges if a stock is reasonably priced. This quantitative rating considers the stock's current and historical valuation parameters based on metrics such as P/E ratio, free cash flow yield, dividend yield, etc. The score is out of 10. The higher the score, the more attractively priced it is.

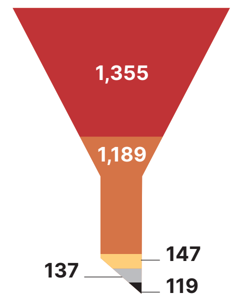
**Momentum Score**
It represents the market demand for a stock by assessing its historical price trend over six to 12 months. The score is calculated by adjusting the price movement for volatility. A higher score means the price performance has been impressive with relatively lower or digestible volatility.

**Stock Style**
Derived from a combination of the stock's valuation – growth or value – and its market capitalisation – large, mid and small. For example, here is the stock style of a large-cap growth stock.



# Stellar small caps

No. of companies that cleared the filters




### Reasons to invest

- High-quality companies
- Chances of high wealth creation
- Moderate to high growth
- Reasonable valuations

### The filters

- No. of small cap companies
- Companies with a stock rating
- Quality score more than 8
- Growth score more than 4
- Valuation score more than 4

## High-quality small caps

| Company<br>Industry | Stock Style | Stock Rating | Quality Score | Growth Score | Valuation Score | Momentum Score | P/E | Market cap (₹ cr) | Share price (₹) | 52-week high/low (₹) |
|---|---|---|---|---|---|---|---|---|---|---|
| **Ace Alpha Tech**<br>Financial Technology | | ★★★★★ | 10 | 10 | 6 | 8 | 14.7 | 165 | 94 | 138-77 |
| **Action Construction**<br>Heavy Machinery | | ★★★★ | 10 | 7 | 6 | 3 | 23.4 | 9,872 | 798 | 1,389-775 |
| **ADC India**<br>IT Services & Consulting | | ★★★★★ | 10 | 8 | 5 | 9 | 30.9 | 568 | 1,217 | 2,090-963 |
| **Adcounty Media**<br>Advertising & Marketing - Div. | | ★★★★★ | 9 | 8 | 5 | 5 | 18.4 | 253 | 104 | 282-96 |
| **Advanced Enzyme**<br>Speciality Chemicals - Div. | | ★★★★★ | 9 | 6 | 6 | 8 | 20.0 | 3,049 | 265 | 366-259 |
| **Advani Hotels**<br>Hotels & Resorts | | ★★★★★ | 10 | 5 | 7 | 5 | 20.2 | 478 | 51 | 68-50 |
| **Alkyl Amines**<br>Commodity Chemicals - Div. | | ★★★★ | 9 | 6 | 6 | 3 | 36.6 | 6,611 | 1,253 | 2,439-1,212 |
| **Alldigi Tech**<br>BPO Services | | ★★★★★ | 10 | 7 | 8 | 4 | 15.4 | 1,121 | 725 | 1,084-721 |
| **All E Technologies**<br>IT Services & Consulting | | ★★★★★ | 10 | 7 | 8 | 1 | 9.6 | 287 | 136 | 476-131 |
| **Aptus Value**<br>Mortgage/Housing Finance | | ★★★★ | 10 | 6 | 8 | 2 | 11.8 | 10,448 | 199 | 364-198 |
| **Arman Financial**<br>NBFC - Div. | | ★★★★ | 9 | 5 | 5 | 9 | 55.9 | 1,586 | 1,455 | 1,835-1,170 |
| **Aryaman Financial**<br>Financial Services - Div. | | ★★★★★ | 10 | 7 | 5 | 9 | 22.0 | 734 | 600 | 1,100-450 |
| **Axtel Industries**<br>Industrial Machinery | | ★★★★★ | 9 | 7 | 6 | 6 | 24.8 | 613 | 372 | 550-335 |
| **B.A.G. Convergence**<br>Digital Entertainment | | ★★★★★ | 10 | 7 | 6 | - | 24.2 | 228 | 105 | 139-96 |

# STOCK SCREEN

| Company<br>Industry | Stock Style | Stock Rating | Quality Score | Growth Score | Valuation Score | Momentum Score | P/E | Market cap (₹ cr) | Share price (₹) | 52-week high/low (₹) |
|---|---|---|---|---|---|---|---|---|---|---|
| **Bata India**<br>Footwear | | ★★★★ | 10 | 6 | 6 | 1 | 47.9 | 8,525 | 629 | 1,301-628 |
| **Benares Hotels**<br>Hotels & Resorts | | ★★★★ | 10 | 7 | 5 | 4 | 28.1 | 1,236 | 9,445 | 12,000-9,000 |
| **Birlasoft**<br>Software & Services - Div. | | ★★★★★ | 9 | 6 | 7 | 7 | 21.6 | 10,034 | 352 | 474-331 |
| **BLS International**<br>IT Services & Consulting | | ★★★★★ | 10 | 7 | 7 | 3 | 15.4 | 9,904 | 230 | 429-230 |
| **Bombay Burmah**<br>Tea & Coffee | | ★★★★★ | 9 | 7 | 8 | 6 | 9.5 | 10,484 | 1,434 | 2,155-1,434 |
| **Can Fin Homes**<br>Mortgage/Housing Finance | | ★★★★★ | 10 | 9 | 7 | 10 | 11.2 | 10,908 | 799 | 972-615 |
| **Cantabil Retail**<br>Readymade Garment | | ★★★★★ | 10 | 6 | 7 | 7 | 22.3 | 1,984 | 231 | 322-213 |
| **Capital Small Fin.**<br>Small Finance Banks | | ★★★★★ | 9 | 6 | 7 | 6 | 8.0 | 1,087 | 237 | 331-232 |
| **Cash Ur Drive**<br>Advertising & Marketing - Div. | | ★★★★★ | 10 | 7 | 6 | 1 | 9.6 | 169 | 93 | 167-91 |
| **Cera Sanitaryware**<br>Tiles and Sanitaryware | | ★★★★ | 9 | 5 | 6 | 4 | 28.8 | 6,123 | 4,589 | 7,275-4,461 |
| **Chemkart India**<br>Recreational Pharmaceuticals | | ★★★★★ | 9 | 10 | 6 | 2 | 5.0 | 120 | 100 | 262-95 |
| **Cheviot Company**<br>Jute Products | | ★★★★★ | 9 | 6 | 7 | 5 | 8.2 | 573 | 975 | 1,300-961 |
| **Clean Science**<br>Speciality Chemicals - Div. | | ★★★ | 9 | 6 | 5 | 1 | 30.3 | 7,428 | 686 | 1,600-674 |
| **CMS Info Systems**<br>Other Business Services | | ★★★★ | 9 | 6 | 8 | 1 | 14.5 | 4,661 | 276 | 541-275 |
| **Connplex Cinemas**<br>Media & Entertainment | | ★★★★★ | 10 | 9 | 7 | 8 | 23.9 | 455 | 231 | 293-177 |
| **CSB Bank**<br>Banks - Div. | | ★★★★★ | 9 | 9 | 7 | 9 | 10.1 | 6,269 | 345 | 574-288 |
| **CyberTech Systems**<br>IT Services & Consulting | | ★★★★★ | 10 | 6 | 8 | 4 | 10.4 | 342 | 104 | 275-95 |
| **DAM Capital Advisors**<br>Investment Banking | | ★★★★★ | 10 | 8 | 8 | 2 | 11.3 | 918 | 123 | 304-119 |
| **Dhillon Freight Carrier**<br>Road Logistics | | ★★★★★ | 9 | 5 | 6 | - | 7.0 | 12 | 31 | 58-29 |

Stock Rating and price data as March 23, 2026. For the full list, scan the QR code on the right.

# Want more? Here you go

Other screens available on the Value Research website, along with their themes and some of their stocks

## Value meets momentum

A screen that shows value stocks that are on radar

| | P/E | | P/E |
|---|---|---|---|
| Chennai Petroleum Corp. | **7.4** | NMDC | **10.2** |
| Oil & Natural Gas Corp. | **8.8** | Natco Pharma | **11.0** |
| The Great Eastern Shipping | **9.0** | Gujarat Pipavav Port | **15.1** |
| Shipping Corp. Of India | **9.6** | Jayaswal Neco Industries | **19.3** |
| Coal India | **9.7** | Godawari Power And Ispat | **23.8** |

## High momentum large caps

Gives a list of large-cap stocks that are in vogue right now

| | P/E | | P/E |
|---|---|---|---|
| Indian Oil Corp. | **5.7** | Hindustan Zinc | **18.4** |
| Oil & Natural Gas Corp. | **8.8** | Vedanta | **18.6** |
| Coal India | **9.7** | Tata Steel | **26.8** |
| Hindalco Industries | **12.2** | Bharat Electronics | **52.2** |
| NTPC | **15.3** | Titan Company | **76.5** |

## High momentum mid caps

Gives a list of mid-cap stocks that are in vogue right now

| | P/E | | P/E |
|---|---|---|---|
| Bank Of India | **7.0** | L&T Finance | **23.3** |
| Indian Bank | **10.3** | AU Small Finance Bank | **29.1** |
| National Aluminium | **11.0** | BSE | **52.0** |
| The Federal Bank | **16.1** | GE Vernova T&D India | **88.2** |
| Indus Towers | **16.1** | Hitachi Energy India | **132.6** |

## High momentum small caps

Gives a list of small-cap stocks that are in vogue right now

| | P/E | | P/E |
|---|---|---|---|
| The Great Eastern Shipping | **9.0** | R R Kabel | **34.7** |
| Gujarat Mineral Dev. Corp. | **18.5** | Ajanta Pharma | **35.8** |
| Force Motors | **20.8** | JB Chemicals & Pharma. | **45.9** |
| Avanti Feeds | **26.0** | Acutaas Chemicals | **68.6** |
| AIA Engineering | **27.5** | Hindustan Copper | **71.4** |

## High dividend yield

Stocks that have a high dividend yield currently

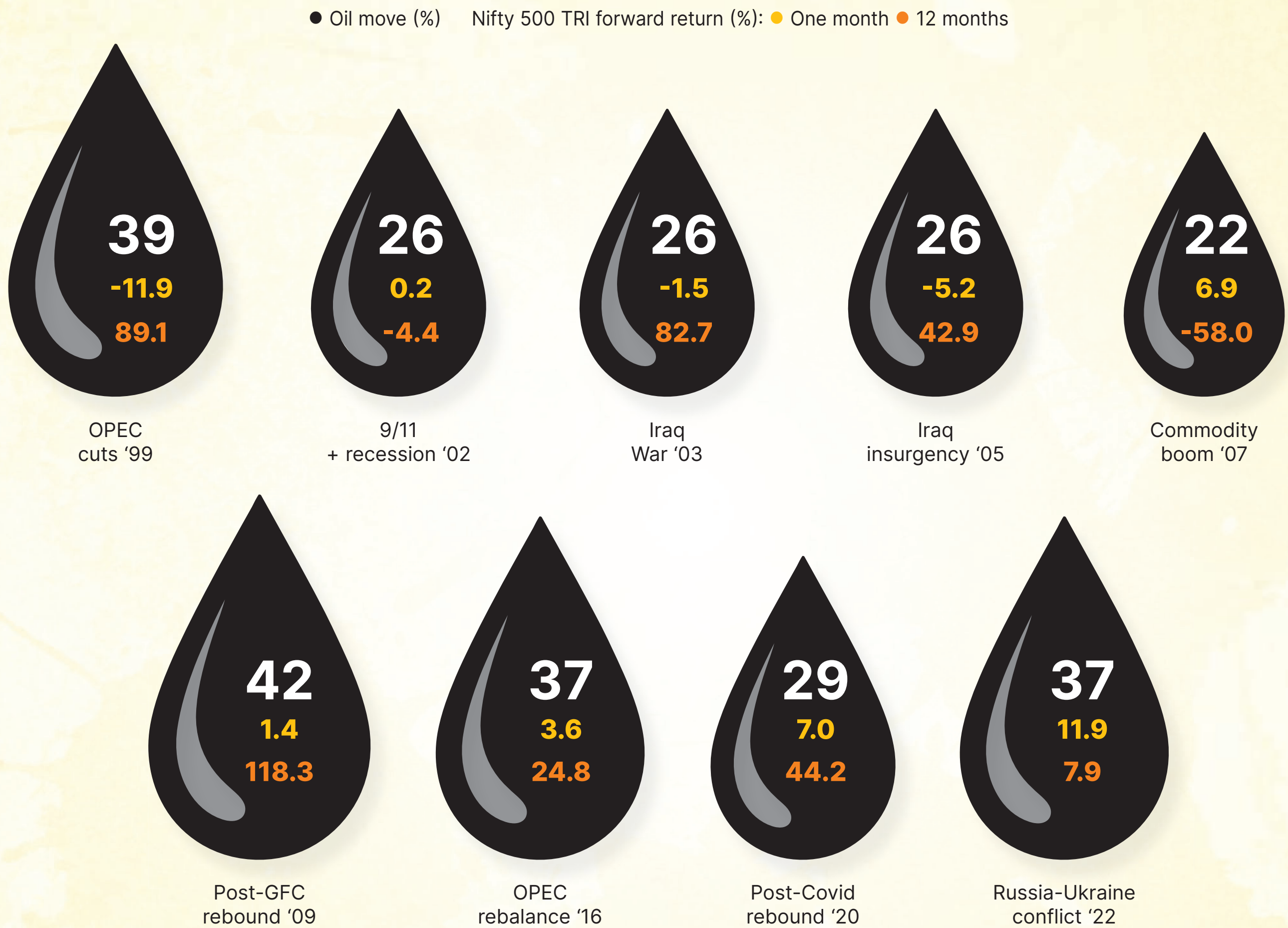
| | Div. yield(%) | | Div. yield(%) |
|---|---|---|---|
| PTC India | **7.1** | Power Finance Corp. | **3.8** |
| REC | **5.4** | Rane Holdings | **3.6** |
| GAIL (India) | **5.2** | Mahanagar Gas | **3.1** |
| Gateway Distriparks | **3.9** | Gujarat Indaustries Power | **3.1** |
| Petronet LNG | **3.9** | Alembic | **3.0** |

# Oil shocks and supply

Major crude rallies and the countries that dominate India's oil supply

## Oil spikes, market gains

Geopolitical turmoils often give way to solid long-term returns




Source: Capitalmind Mutual Fund

## Where India's oil comes from

Imports remain dependent on a few key countries


Source: DGCI&S, Ministry of Commerce & Industry and PPAC. Data as of FY25.